

# INTRODUCTION TO CONTRACTS

## DEFINITION OF A CONTRACT:

**Treitel (academic) Contract** = an agreement between two or more parties which includes one/more promises that the law will enforce.

### Example:

A contract is made when you get on a bus. You pay for your ticket and there will be an agreement between you and the transport company to take you to your destination.

### Formation of a contract: \*Does the contract exist?\*

- Agreement (offer and acceptance)
- Consideration
- Intention to create legal relations
- Certainty
- Capacity
- Privity of contract
- Rights of third parties

**Contracts do not need to be in writing** and can simply form by entering into an **oral agreement**.

### Agreement:

The parties will be in agreement when one person **makes an offer** and the receiving party **accepts it** in response.

### Consideration:

The parties must also provide **something of value** to the other under the agreement. – **this may be a promise to carry out works, supply a product or make a payment.**

### Exception – important contracts do need to be in writing:

\*Popular exam q\*

- Contracts to Sell Land
- Contracts of Guarantee  
AND
- Consumer Credit Agreements

## KEY TYPES OF CONTRACTS:

**Bilateral contract** = your typical contract, where one person makes the offer and other person says that they accept.

The enforceability of these types of contracts is based on **exchanged promises**.

**Unilateral contract** = one person makes a promise to do something in return for the **performance of a prescribed act**.

These offers are accepted by performance of the act and the contract will become enforceable in that moment.

### Example – unilateral contract:

Peter posts an offer in a newspaper to give £17,000 to the first person to send him a picture of the Loch Ness monster taken in 2024.

Isha sees this advert during her stay in Scotland and she has already taken some pictures of Loch Ness the week before (in February 2024) and found that one of the photos had something on it which could have been the Loch Ness monster. When Isha sends these pictures to Peter, a unilateral contract will have formed.

You will find that the words “unilateral” and “bilateral” come up quite often during your legal studies, so it is important to know what they mean.

**Unilateral** = performed on one side, affecting one side only.

**Bilateral** = performed on two sides, affecting two sides.

**Collateral contract** = where there is a contract between two parties, a separate (collateral) contract may exist which relates to the original contract.

In the original contract, there may be a promise to enter into the collateral contract or the collateral contract may simply be a contract affected by the original contract.

### Example – collateral contract:

Abby is a sole trader operating an Airbnb. She designs some images online showing what she imagines her redesigned room to look like after some renovations. She receives a payment of £1,000 booking the room for March. Abby hires Cillian to carry out the renovations to make the room look just like her design.

When Cillian fails to complete the renovations on time and to the required standard, Abby will have to cancel the booking and refund the £1,000 (this booking was the collateral contract in this situation).

## ENFORCEABILITY OF CONTRACTS:

**Void (void ab initio)** = a contract is void (“void from the beginning” or “null and void”) where it is deemed by the court that **there was no contract between the parties**.

**Voidable** = if a contract is voidable, then the **contract will be valid** and enforceable **until it is avoided** by one of the parties. Most contracts are not voidable, however, they may become voidable in certain circumstances.

**Unenforceable** = if a contract is unenforceable, it is valid, however, the **courts are unable to enforce it**. In this case, it is up to the parties to decide whether to perform the terms of the contract.

## AGREEMENT

### OFFERS:

**Offeror** = person making the offer.

**Offeree** = person on the receiving end of an offer.

**Offer** = "an expression of willingness to contract on specified terms made with the intention to become legally binding as soon as it is accepted by the person to whom it is addressed."

#### An offer must:

1. Be certain – the offeror must know what is being offered.
2. Be communicated to the Offeree  
AND
3. Show intention to create legal relations – this may be implicit or explicit. This will be a separate topic later on in the course.

#### Certainty of the offer and its terms:

##### Certainty means:

- \* Certainty as to the terms of the contract
- \* Complete

##### Certainty as to the terms of the contract:

An offer must be clear and certain as to the **key terms** of the contract and its **subject matter**.

##### Example:

Ewan promising to sell his hamster for £30 will have made a clear offer, as both the subject matter of the sale (hamster) and the price (£30) as clear and certain.

On the other hand, Ewan promising to sell a hamster for £30 is unclear, as the offeree would not know which hamster was to be sold.

**Gibson v Manchester CC** An offer must be certain and the word "may" in an offer is not sufficiently certain.

**Scammell v Ouston** The terms of the agreement must be clearly ascertainable for the contract to be enforceable. Using trade practice and the course of dealings between the parties is not possible to ascertain what the terms of the contract may have been, the court will only look at the actual terms of the contract.

##### Complete:

**The offer must be complete**, including all key terms without any of the terms to be determined in the future.

**May and Butcher v R** If an offer states that key terms of the contract, such as the price and date of payment under a sale of goods contract are to be "agreed upon from time to time", it is not a valid offer as it is incomplete without including the relevant key terms.

#### The offer must also be communicated to the Offeree:

In order to have the ability to accept the offer, the **Offeree must know that the offer existed**, and therefore, the offer must be communicated to the Offeree.

##### Communication can be done:

- \* In writing
- \* Orally
- \* By conduct

The accepting party must also communicate acceptance in response to the offer in writing, orally or by conduct.

#### Types of offers:

- \* **Bilateral offers:** offering something in return for a promise. These promises are made to a specific person or a specific class of people. – eg. Andrew promising to sell his car to Jimmy in return for £4,500.
- \* **Unilateral offers:** offering something in return for the performance of a prescribed act. These promises may be made to a specific person or "to the world" and are valid irrespective of acceptance and the identity of the person performing the act. – eg. Lily promising to pay £3 million to anyone who finds the cure to cancer.

##### ⇒ Offers to the world:

A subset of unilateral offers, where the unilateral offer is made to the world.

**Offer to the world** = when you make an offer that anyone can accept by performance.

## RESPONSES TO REQUESTS FOR INFORMATION (NOT AN OFFER):

Responses to requests for information in relation to a potential contract do not amount to offers, and will simply be **statements to provide further information** regarding the terms of the potential contract.

##### Example:

Nicholas sees an advertisement for a boat in the window of his local off-licence. He texts the number and his text includes the following message: "Please text me the lowest price for the boat." Beca's response is the following: "£6,500 is the lowest I would go."

Nicholas' message amounted to a request for further information and Beca's message amounted to a response, rather than an offer. As a result, if Nicholas were to text her saying: "I accept the offer.", Beca would not be bound to sell his the boat for £6,500 because her statement did not amount to an offer.

## INVITATIONS TO TREAT (NOT AN OFFER):

If you have an expression that might be an offer but it does not fit the criteria of an offer, it is an invitation to treat.

Invitations to treat are an **expression of willingness to negotiate** by inviting offers from others, **inviting the other party to begin negotiations or make an offer**. When unsure whether a statement is an offer or an invitation to treat, it is useful to look at the intention behind the statement.

An invitation to treat has **no legal status**. It is merely the opening step in negotiations and **because it is not an offer, it cannot be accepted**.

##### Example:

Vimal says the following to Christopher: "I will sell you my used laptop for £560." This amounts to an offer.

On the other hand, if Vimal says to Christopher: "I will potentially sell my used laptop, it is probably worth around £600. Would you buy it for £600?" This is simply an invitation to treat. There is no clarity as to the intention to sell and no clarity as to the purchase price.

##### Invitations to treat:

1. Displays of goods
2. Advertisements
3. Requests for further information

##### Display of goods:

**Fisher v Bell** Displays of goods in shop windows or the shop floor are not offers, but **merely invitations to treat**.

In relation to display of goods, the **offer is made by the buyer** when they take the goods to the till/checkout. The offer is accepted when the shop assistant enters the sale into the cash register or scans the product.

##### Adverts:

**Partridge v Crittenden** Advertisements are not offers but merely invitations to treat. An offer is made by the person contacting the sellers to buy the products or sign up to the services advertised. – this is because if everyone seeing the advert responded to it, the person who placed the advert would be out of stock soon, but would still be obliged to perform the contract.

**Price lists also amount to advertisements**, and therefore, the Seller producing the price list will not be obliged to sell the products that appeared on the price list.

##### Exception 1 – Unilateral offers:

**Carlill v Carbolic Smoke Ball Co.** If the advertisement contains clear terms and a prescribed act, it may be a unilateral offer. The advertisement must show intention to create legal relations, and this can often be inferred from how detailed the advertisement is. – the more detailed, the more likely that a court will find it to constitute a unilateral offer.

##### Example:

An advertisement for teeth whitening strips states that if the strips do not whiten someone's teeth by three shades when used for 5 consecutive nights according to the user manual, that person shall receive £7,000. If the ad also states that this amount has already been deposited in the seller's bank ready to pay out, this will be sufficient clarity to amount to a unilateral offer.

The advertisement does not amount to a unilateral offer if it is an obvious joke.

### Exception 2 – Limitless supply:

If an advert is clear, certain and shows an intention to be bound and there is no problem with supply the normal rule would not apply.

### Exception 3 – Invitations to tender:

By inviting tenders, you are not making an offer.

**Invitation to tender** = expression of willingness to invite people to make offers with the price. – eg. you need to get some work done and you contact people who may be interested, you give them the details of what needs to be done. They will then reach out to you with the price.

If the invitation to tender is also a unilateral offer, there will be a unilateral contract formed if the prescribed act is performed.

If the invitation to tender sets out that they would accept the highest/lowest bid, then the promisor must do so.

### Exception 4 – Auctions:

**Payne v Cave** An auctioneer inviting bids is an invitation to treat and the bidders make the offer. The acceptance at the auction is made once the auctioneer drops the hammer.

**If a person has made an offer that person is also entitled to revoke that offer.** But, the offer can only be revoked as long as it has not been accepted. Once the offer is accepted the contract is formed.

In case of without reserve auctions the offer of the highest bidder will be automatically accepted.

## TERMINATING AN OFFER:

**An offer will stay open until terminated** by rejection of the offer, revocation or lapse.

**An offer can be revoked before it has been accepted,** but not after acceptance.

### Rejection:

#### Counter-offer:

**Rejecting the original offer and making a new offer.** This will be the case where any of the terms of the original offer are altered.

#### Example:

If there was an offer for the sale of land, for £1,000. The buyer said that he will pay £995. The seller then sold the land for someone else. When the buyer wanted to force the seller to sell the land to him for £1,000, the court disagreed as he has already rejected that offer.

### Battle of the forms:

**Two companies, both wanting to contract on their standard terms. None of them ever agreeing.** In this case, the last shot approach will apply. Whoever will finally accept unequivocally, that will be the agreed final contract.

### BUT! Requests for further information:

**This is not a rejection, simply asking for clarification of the terms on which the offer is made.**

### Lapse:

#### An offer may lapse by:

1. Passage of time
2. Death
3. Non-fulfilment of a condition precedent

#### Passage of time:

**Offers only stay open for a reasonable time.**

What is reasonable will depend on the circumstances. – eg. if someone makes an offer to you to sell a newspaper for 50p this offer is not going to be open for a whole year. But the offer for a house will likely be reasonable to stay open for longer.

#### Death:

If the offeror **dies before the offer has been accepted**, then the offer will lapse.

### Non-fulfilment of a condition precedent:

**Condition precedent** = a condition before the offer can come into force.

If this condition is never fulfilled, then the offer will lapse.

### Revocation:

**An offer can be revoked before it has been accepted,** but not after acceptance.

**Byrne v Van Tienhoven** Revocation is only **effective once** received by the Offeree.

### Third party revocation:

An offer can be revoked by a third party if that third party is authorised by the Offeror. Revocation does not necessarily need to be done by the Offeror themselves.

### Auctions:

**Payne v Cave** Revocation is effective if it has been done before the hammer falls.

### Revocation of unilateral offers:

A unilateral offer is revoked once the act set out in the offer is performed.

**A unilateral offer may not be revoked if someone has started performance.** If someone has started performance and it thus becomes unfair to revoke the offer, the offeror must give a chance to the offeree to finish the performance.

**The offeror cannot prevent the offeree from performing the prescribed act.**

### Offers to the world:

**For announcing revocation, the offeror must use a method similar to how the offer was made.**

Difficult to revoke unilateral offers made to the world as there would be a problem in communicating the revocation. In this case, revocation will be effective if the offeror uses a method that is “equally notorious” as the method whereby the offer was made. – eg. if the offer was made in a newspaper ad, the revocation should be made the same way to be effective.

## AUCTION SALES:

Auction sales attract special rules.

### English auction:

**English auctions** = auctions where the item/property is sold to the highest bidder **subject to the reserve price** set by the seller. The reserve price will be the opening bid which will be announced by the auctioneer before taking bids.

If your question on the exam does not specify the type of auction, it simply states that there is an auction in the scenario, it is safest to assume that the auction is an **English auction**, as this is the standard and most common type used in the UK.

### The auction catalogue (advertisement):

**Payne v Cave** The listings in the catalogue do not amount to offers, but merely **invitation to treat**.

### Request for bids (invitation to tender):

**Payne v Cave** When the auctioneer makes a request for bids, this is also not an offer but an **invitation to treat**.

### Bids:

**Blackpool and Fylde Aero Club v Blackpool** The offer is made when the bidders make a bid.

### Knocking down the hammer:

**Payne v Cave** When the auctioneer brings down the hammer, that is when the **offer is accepted**.

#### Example:

Winnie is at an auction house, bidding for various items. A statue catches her eye, which she believes is particularly valuable. During the bidding process, she notices as the other bidders do not see the value in the statue as much as she does. She ends up being the highest bidder and she withdraws her offer in a state of panic before the hammer drops.

She will have successfully withdrawn her offer in this case, as her offer has not yet been accepted when she withdrew it.

### Auction without reserve:

**Auctions without reserve** = auctions where the item/property is **sold to the highest bidder** even if the price is lower than the Seller expected. These auctions are also called absolute auctions or no reserve auctions.

At an auction without reserve, the **auctioneer must accept the highest bid** regardless of the price.

### The auction catalogue (advertisement):

**Warlow v Harrison** The advertisement of a no reserve auction, while an invitation to treat in relation to the sale, contains a **promise that the item/property will be sold to the highest bidder**. This will create a collateral contract between the bidders and the seller/auction house.

#### Example:

Reggie is selling a lesser known Leonardo Da Vinci painting as a no reserve auction, thinking that he would be able to sell the painting for a stellar price.

During the auction, it appears that there is not as much demand for the painting as Reggie had hoped, so he starts bidding to the painting himself as soon as he sees that another bidder, Julia, is also interested. Reggie ends up being the highest bidder and the painting is sold to him.

Julia learns that Reggie was actually the owner of the painting and she sues him for breach of contract. She is right in doing so, as she had rights under a collateral (related) contract with Reggie and the auction house. This contract included a promise that each item/property would be sold to the highest bidder and she will have accepted the offer when she took part in the auction.

### Request for bids (invitation to tender):

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## ACCEPTANCE

### OBJECTIVE TEST:

Whether a contract has formed, will be decided by an objective test.  
**Objective test:** whether a reasonable person listening to the negotiations between the parties agree that a contract has been made?

If a man conducts himself in a way that any reasonable man would believe that he was agreeing to the terms, then he will enter into the contract, even if his real intentions were not to be bound.

But the court will not allow buyers to 'snatch a bargain'.

### REQUIREMENTS:

#### Acceptance must be:

1. A mirror image to the offer
2. Made by the offeree
3. Made in response to an offer
4. Communicated

If there are multiple acceptances to the same offer, then **the acceptance that reaches the offeror first will form the contract**, and the other acceptances will not have been successful.

#### Communicated:

**Entores v Miles Far East** Acceptance is **effective on receipt**.

**Felthouse v Bindley** Silence does not constitute acceptance.

If acceptance is communicated by an **authorised third-party**: it is still valid.

If acceptance is communicated by **conduct**: it is still valid. – **Butler Machine Tool v Ex-cell-o Corporation** – eg. In relation to taking out loans, if the person who took out the loan deposits the loan amount in their bank account, this will be acceptance by conduct.

#### Exception to the rule on communication:

- **Unilateral offers – Carlill v Carbolic Smoke Ball**  
Unilateral offers are accepted by performance. No need to state: 'I accept the offer.'
- **Offeror's fault**  
The person accepting must ensure that their message goes through. What if the offeree believes that the message had gone through but in fact it never did? – eg. **if the acceptance was sent in an email but the offeror inadvertently deletes the email without reading it, this will be the offeror's fault.**  
  
If it was the offeror's fault that the message did not go through, they cannot then rely on the communication rule saying that acceptance was not communicated, even if done inadvertently.
- **The Postal Rule – Adams v Lindsell**  
If accepting via post, and posting is done properly, then acceptance happens **as soon as you put the letter in the letter box**. The letter need not actually arrive.

#### Prescribed acceptance:

If the Offeror specified what amounts to acceptance, then the Offeree must follow the rules of acceptance. – eg. **if the offer states that acceptance happens by saying "yes", then you cannot accept by saying "I accept"**.

#### Mirror image to the offer:

**Hyde v Wrench** The terms of the acceptance **must match the offer**. If the acceptance is in relation to different terms compared to the offer, then the acceptance will amount to a **counter offer**.

### THE POSTAL RULE:

#### General rule:

Use this rule only where acceptance has been sent by post.

**If accepting via post, then acceptance happens as soon as you put the letter in the letter box.**

#### Exceptions to the rule:

##### The Postal rule does not apply if:

- \* **Letter was not properly posted** (it was misaddressed or not properly stamped)
- \* It was **unreasonable** to accept by post.  
OR
- \* The Postal rule was **excluded** (ousted) by the Offeror.

If the letter was properly posted but **lost or destroyed, acceptance is still valid**.

##### Letter was not properly posted:

In this case, **acceptance is received once it actually reaches** the offeror.

There can still be a contract in these cases but the commencement of the contract may be delayed.

If, during that time period, someone else has accepted the offer, then the contract will have never formed.

If the reason for the wrong address was the **fault of the offeror**, the Postal rule will still apply.

##### It was unreasonable to accept by post:

It will be deemed to be unreasonable to accept by post if posting causes a **'manifest of inconvenience and absurdity'**.

#### Examples where acceptance by post is unreasonable:

- \* There is an ongoing postal strike so the letter will not arrive.
- \* If the subject matter of the purchase is a freshly cooked meal which may spoil by the time that the post arrives.
- \* If the parties are talking to each other face to face then the accepting party runs off to write a letter without verbally accepting the offer first.

#### Where the Postal rule is ousted:

This can be done by the offeror indicates that actual communication is required or saying that they want 'notice of acceptance', 'letter to be received'.

#### Consequences of the Postal rule:

Not beneficial for offerors as there may be people out there who have already accepted the offer, but the offeror would not know until the acceptance is received.

The post may have been lost or destroyed and the offeror will not know that a contract has already been formed. The position of the offeror is therefore very uncertain.

#### Revocation of offer is invalid after acceptance.

This is true even if the revocation was sent by a faster method than the acceptance and the offeror did not know that the offer has already been accepted.

### INSTANTANEOUS COMMUNICATIONS:

Use this rule only where acceptance has been sent by email/telex.

**The receipt rule:** acceptance must have been received.

Communication will be deemed received **within office hours**.

If the message was sent outside of office hours, the message will be deemed received the first thing when the office opened again on the next working day.

There is no universal rule on office hours, the court will always look at the circumstances of the case.

If there is evidence that the office usually operates until late into the evening, then the deemed office hours will include those hours.

### PRESCRIBED MODE:

Use this rule only where the offeror has set out a prescribed method of communication for the acceptance. – eg. **please accept by letter or please don't accept by post**.

**Prescribed mode will only be binding if it is explicitly mandatory and rules out all other modes.** If the offeror does not rule out any other mode then all he did was mention what his preference would be as to communication. – eg. 'Please contact me by telephone, not by email.' or 'Please contact me by telephone, and only telephone.'

**If the prescribed mode does not rule out other modes, then as long as the other mode is as fast as the prescribed mode, it will be valid.** The other method should not disadvantage the offeror. – eg. if asked to be telephoned, an email may put the offeror at a disadvantage eg. if the offeror is blind and cannot read the email.

If the offer was sent by an instantaneous method, it will be implied that the acceptance must be sent by an equally instantaneous method.

If the method was prescribed for the convenience or benefit of the sender then the sender can waive the prescribed method.

Example:

If the prescribed method was tracked post, this is always done for the benefit of the sender so that they have a receipt and can see once the post has been received. In this case the sender can simply send the post by normal post, and this will not invalidate the acceptance.

## CONSIDERATION

**Consideration** = an element of exchange, whereby both parties provide **something valuable** to the contract.

### Examples:

- \* Promises to provide goods.
- \* Promises to pay a certain amount.
- \* Promises to not sue someone.
- \* Promises not to compete.
- \* Promises to not do something.
- \* Promises to provide services such as carrying out work or looking after someone's dog.

### Enforceability:

Consideration is what makes contracts enforceable.

**Enforceable** = something that is recognised by the court. If a contract is unenforceable, one or more of the parties can decide to walk away from it and the other party will not be able to make a court claim to enforce the contract terms.

### Two types of consideration:

1. **Executory consideration:**  
Consideration may be a simple promise to do something, but the obligations have **not yet been performed**. These considerations are valid and the agreement will form a binding contract.

#### Examples:

You might agree when contacting a massage parlour that they would give you a massage at a given date, and you make a payment at the time of booking. The massage takes place at a later date and therefore is going to be executory consideration.

2. **Executed consideration:**  
Consideration may be actually performing what is due under the contract. **Once the obligation is performed**, consideration will have been executed.

#### Examples:

If you turn up at the massage parlour asking for a massage, and they have an empty slot there and then, they could give you the massage immediately and you would then pay either before or after. Consideration will be executed when the contract is formed.

## RULES OF CONSIDERATION:

**The rules of good consideration refer to whether consideration will be legally valid in the circumstances.**

This is not a moral judgement on consideration whether or not consideration was proper, acceptable and providing market value. That will be up to the parties to decide.

**Promisor** = person making the promise

**Promisee** = person that is being promised something.

In a contract, there is one Promisor and one Promisee. – one promisor will promise to pay, the other promisor will promise to perform obligations.

### General rule:

#### Consideration must:

1. Not be past
2. Move from the Promisee
- AND
3. Be sufficient but need not be adequate

Promises to carry out existing obligations is not usually seen as good consideration.

Part-payment of a debt will not constitute good consideration.

### Must not be past:

**Past consideration** = Where one party has already provided a benefit, and that party is now asking for a promise in return for that benefit.

#### Example:

An aunt provided childcare for her niece in the past is now asking for payment in return for the work she has carried out. At the time when she agreed to care for her niece, she agreed to care for her for free. She can't then turn around and change her mind saying that she now wants payment for that past work.

**Past consideration is not enforceable.**

**A promise made after the agreement has formed is not a binding promise.**

#### Exceptions:

- \* It was understood that payment would be due
- \* Contract made by deed

### It was understood that payment would be due:

If there was an understanding between the parties that **payment would be due for the services** from the beginning, then the paying party cannot get out of the contract by arguing past consideration.

In commercial situations, it will be understood that payment would be due. This is unlikely to be the case in domestic situations. – eg. **if the service was provided in the course of a business, however, there is not going to be an expectation to make a payment in a domestic situation where you are simply asking your brother to prepare a meal for you.**

This is the case even if there was **no discussion as to the amount** that would be due. All that is necessary for good consideration is an understanding that some sort of payment would be due.

### Three-stage test to see if past consideration could be valid: Pao On

1. Consideration must be at the request of the promisor
2. It must have been understood that payment would be due
- AND
3. Apart from this issue, contract must be enforceable – eg. **nothing done that is illegal will count as good consideration. All the usual elements of a contract must also be satisfied.**

### Contract made by deed:

If a contract is made by deed, then the rules of good consideration will not apply. **Any consideration** will be accepted and deemed valid by the court.

**Deed** = a document set out in a prescribed form.

### Must move from the Promisee:

A claimant can only make a claim in relation to a contract if he is the one who has given the consideration.

Anyone who has privity can enforce a contract.

**s.1 Contracts (Rights of Third parties) Act 1999** Despite this, any person may enforce a contract if the contract expressly sets out that he may enforce it or any of the terms confers a benefit to him.

### Must be sufficient:

**Roscorla v Thomas Chappell v Nestle** **Consideration must be sufficient but need not be adequate.** It is sufficient for the rules of consideration to provide something of a small value in return. – eg. **paying £1 for a car will be sufficient, need not be market value.**

Sufficient consideration is sometimes called **“good consideration”** and you might hear this terminology used in your reading or a question.

However, **illusory consideration** will not be sufficient. This includes any consideration that is too vague and hard to define and enforce.

#### Examples of sufficient consideration:

- \* Giving up a legal right.
- \* Promising not to sue someone.
- \* Promises to not drink, smoke, swear or play cards.
- \* Paying a peppercorn as rent.

#### NOT sufficient consideration:

- \* Giving up complaining
- \* Promising to pay at a rate which the promisor will decide at a later date – this gives too much discretion to the promisor.
- \* Promising to sell any goods the promisor wants. – again gives too much discretion to the promisor.

The law expects both sides on the contract to make some sort of effort as consideration for the contract, they must provide some value.

Paying one apple in return for a TV **may not be adequate** in that the **market value** of the apple is a lot **lower** than the market value of a TV, however, the court is not going to step in to make the contract unenforceable in these cases.

### Peppercorn consideration:

**Peppercorn** = commonly used metaphor in contract law meaning a very **small amount of cash or nominal consideration**. – eg. £1 or £10

**Chappell v Nestle** Peppercorn consideration is still valid consideration.

### Why to use peppercorn consideration in contracts?

1. **To hide the true value paid under the contract:**  
This provides **confidentiality as to the price**. While the peppercorn consideration ensures that the contract remains valid, it will allow for the exact amount paid to stay hidden and will not be included in public records.
2. **To satisfy the requirements for leases:**  
Peppercorn rent is a nominal amount **paid for rent in long leaseholds** of 99 years or over (virtual leaseholds), where a large premium is paid to purchase the leasehold estate, however, the satisfy the **requirements for a valid lease**, peppercorn rent is paid on an annual basis thereafter.  
  
Usually ground rent is paid annually for community expenses but this is then reduced to peppercorn rent once the lease expires and is extended.  
  
This may also be used to reduce the Capital Gains Tax on the property by claiming that the property should be valued at a lower price since it could only bring in a low amount in rent.
3. **To satisfy the requirements for land contracts:**  
Peppercorn payment is also used for land contracts to convert a gift of property into a valid sale. This is achieved by adding in a **peppercorn consideration clause** in the deed what effect the sale.

#### Example:

"The Parties agree to comply with the terms of this Agreement in consideration of the payment of £1 by the Buyer."

### Why to use peppercorn consideration instead of gifting land?

- \* Selling the land instead of gifting will ensure that the person making the gift **cannot change their mind** after the transaction.- "Equity will not assist a volunteer."
- \* **Free of inheritance tax:** gifts are subject to inheritance tax if the person making the gift dies within 7 years of making it. Selling the property for peppercorn consideration ensures that the property does not attract inheritance tax.

## PRE-EXISTING OBLIGATIONS:

### Existing public duty:

**Making a promise** to do something you are **already obliged** to do is not good consideration.

#### Police:

Existing police duty amounts to good consideration if the police goes over and above their usual duties.

#### Parental:

Keeping a child happy and giving them the choice who to live with is going over and above normal parental responsibilities and can constitute good consideration.

#### Legal:

Attending a hearing as a witness is not good consideration as it is an existing legal duty.

### Existing contractual duty:

#### General rule:

**Performing existing contractual duties will not count as good consideration.**

#### Exceptions:

1. Going over and above the existing obligations  
OR
2. By entering into an agreement, the paying party obtains a **practical benefit**.

### Going over and above:

If the Promisee can show that they have gone over and above their existing obligations, that will count as good consideration. – eg. **this could be done by doing a better job**.

### Practical benefit:

If the Promisee agrees with the Promisor to carry out the works **at some time** (without clarification as to when), then the Promisee calls the Promisor and tells him he would pay more to **carry out the works tomorrow**, the Promisee would earn a practical benefit from the agreement. – This would amount to good consideration.

Even though there was already a contract to carry out the works, the works have now become urgent, so you earn a practical benefit from agreeing to do the works **tomorrow rather than at some time in the future**.

### This rule applies where: Roffey Bros

1. There was a **contract to supply goods/services**
2. B has to have a reason to **doubt that A will complete** their obligations (on time as needed or at all).
3. B makes a **promise to pay A extra** in order to complete on time when the works are needed.  
AND
4. **B obtains a practical benefit** by making this promise. – eg. **because of this payment, the builders avoided the payment of late fees.**

By promising to complete on time, the paying party obtains a practical benefit which is that the original deadline will be met and the late fees could be avoided.

### Obligations owed to a third party:

**Performing existing obligations to a third party could be good consideration.**

This is the case even if the obligations already existed, because it was the **right of the Promisor to decide not to carry out** their obligations under the promise.

If a third party then pays the Promisor to keep their promise under the original contract, then that is going to be good consideration and the contract will be valid.

#### Example:

Andrew has to fix the sink in Janet's home under an agreement they had earlier this week. Andrew got exceptionally busy during the week, and told Janet that he could only fix her sink after 3 weeks due to the long waiting list.

Janet's brother, Kyle is a good friend of Andrew, and he decides to call him up and promise to pay him £100 if he could fix Janet's sink by the end of this week. Kyle accepts the £100 in return for this promise and this will be a valid contract.

## PART-PAYMENT OF DEBT:

#### Example:

You owe me £500. You don't have that money at the moment, but you promise to pay me £500 later on once you have the money. You do have £350 on hand and promise to pay me £350 now to discharge the debt. Is this promise enforceable?

**Debtor** = the person who owes money.

**Creditor** = the person who is owed money.

### General rule:

**Foakes v Beer** Payment that is less than the debt will not discharge the obligation to pay the full amount.

### Common law exceptions:

**Pinnel's case** Promises to accept less can be binding if there is new consideration in the form of a different thing, place or time.

Example:

Different thing:

If you want a debt of £500 to be discharged for £350, you need to offer something else in addition, eg. £350 and a cup of tea. It doesn't matter if the new consideration does not need to be adequate, merely sufficient.

Different place:

If you want a debt of £500 to be discharged for £350, you can offer to pay the £350 at the house of the promisor to give him an advantage.

Different time:

If you want a debt of £500 to be discharged for £350, you can offer to pay the £350 at an earlier date.

No.

**Would your answer differ if the debtor's wife made the promise to pay £800 in settlement of the debt?**

Yes, as third party payment creates a new contract.

**Promises to accept less can be binding if the payment is made by a third party.**

However, if the debtor is in debt because the creditor did work for them and the debtor later finds out that the **work was not done to the standard expected**, then agreeing to pay less will mean that the debtor agreed to **waive their right to litigate** the matter.

### QUESTION 1:

Barbara offers to sell her antique watch to Tom for £34, and Tom agrees to purchase it and pays Barbara the £34. Barbara tells Tom that she will need to go home to collect the watch and will give it to Tom later that day.

As she is wrapping the watch, she notices that the watch is actually vintage Rolex worth £550,000. She no longer wishes to give Tom the watch as she was mistaken as to its value.

Has a valid contract been formed?

Please select the best answer.

- A There is a contract in this case as there has been executed consideration.
- B There is no contract in this case, as the consideration is not sufficient in return for the watch.
- C There is no contract in this case, as the consideration is not adequate.
- D There is a contract in this case, as sufficient consideration was promised in return for the watch.
- E There is no contract as the consideration promised in return for payment was only executory.

**Correct Answer: D) There is a contract in this case, as sufficient consideration was promised in return for the watch.**

Tom's **immediate purchase** of the antique watch represents executed consideration, and Barbara's promise to **hand him the watch later** is **executory**.

Executory consideration is **still valid**, and the fact that Tom did not pay market value will not negate the contract. The £34 will be sufficient consideration, even though it might not be adequate.

### QUESTION 2:

John agrees to sell his vintage vinyl record collection to Sarah for £500 and the promises not to resell the records for a year. Sarah agrees and pays th £500.

Can John sue Sarah for breach of contract if she resells the records after 6 months?

Sarah is giving up her legal right to resell the records for a year in exchange for John's vintage vinyl record collection. This is part of the consideration.

### QUESTION 3:

**A debtor owes a creditor £1,000, and they both agree to settle the debt for £800. Is this a valid agreement?**

## INTENTION TO CREATE LEGAL RELATIONS

### DEFINITION:

**Intention to create legal relations (ICLR)** = 'to create a contract there must be a common intention of the parties to enter into legal obligations, mutually communicated expressly or impliedly.' – **This is an objective test.**

**ICLR requires an objective test and context must also be looked at.**

#### Presumptions:

Presumptions in law are the starting point and will be upheld unless proven wrong.

#### In commercial situations

There is ICLR

A company hiring a cleaner will likely intend to be in a legal relationship so the cleaner will be able to sue the company if they do not pay her.

#### In domestic situations

There is no ICLR

A mother asking her daughter to wash the dishes will not likely intend to enter into a legal relationship so the daughter will not be able to sue her mother if she does not pay her.

## COMMERCIAL SITUATIONS:

**There is a presumption that the parties had intention to create legal relations.**

In general, it is not necessary for the parties to have agreed to every small point/detail of the contract for there to be intention to create legal relations in commercial situations.

**Edwards v Skyways** This presumption is **rarely rebutted**.

A government body's notice promising to reimburse customers who lost out and it was not their fault, was seen as a contractual promise with ICLR.

**The presumption has been rebutted in the following cases:**

- \* If the agreement was set out in **Letters of comfort**.  
**Letters of comfort** = letter(s) written by a holding company to a bank/lender to reassure the bank/lender that the company's subsidiary (the company to receive the loan) is in the position to repay the loan.  
**Kleinwort Benson v Malaysia Mining** Letters of comfort are not legally binding and do not amount to guarantees. If the subsidiary defaults on the loan, the bank cannot chase the holding company for the outstanding amount.
- \* If the agreement was set out in **Letters of intent**.  
**Letters of intent** = letter(s) written by a person/company to another to express their interest in entering into a contract with them.
- \* If the contract signed **contains a clause saying that there is no ICLR**, the court will uphold this even in the business context.  
**Rose & Frank v Crompton** The clause might state that there is no intention to create legal relations or might say that the agreement is to be bound in honour only – these are called **Honour clauses** and will be upheld by the court.
- \* If the documents contain a clause that the documents were **subject to contract**. If no contract is ever signed, then there will be no binding agreement.
- \* **Promotional offers** themselves are not binding even if there is a valid contract. – eg. "Free gift with the purchase" offers are not legally binding if the offeror refuses to grant it.
- \* If the agreement is made as a **social arrangement**. – eg. Where the parties promised to divide earnings as part of a bingo group.
- \* In relation to **heat of the moment** comments/promises, angry outbursts.
- \* In relation to **jokes**. – Pepsi advertised that it would give away fighter jets. This was clearly a joke with no ICLR.

## DOMESTIC/SOCIAL SITUATIONS:

**There is a presumption that the parties had no intention to create legal relations.**

#### Married couples:

Presumption of no ICLR between married couples. This presumption does not apply to separating couples.

#### Relatives:

Presumption of no ICLR between a parent and their child. – **Jones v Padavatton**

Presumption of ICLR where there was mutuality of obligations.

Previous conduct can rebut the presumption of no ICLR in social settings. – eg. Friends sharing jackpot winnings in an organized/business-like manner.

## CAPACITY:

People who are "**unable**" to enter into contracts are protected by law. This is what we call **contractual capacity**. The reason for this is that these people may be unable to understand the consequences of entering into a contract.

#### People who lack capacity:

1. Minors
2. People with mental incapacity
3. Intoxicated people

**A contract entered into by someone without capacity renders the contract voidable by them when the disability ends.** This means that the person without capacity has the ability to go back on the contract, **once they are "able"**. – eg. for minors, this is when they reach 18, for those who are intoxicated, this is when they sober up or for disabled people, this is when the mental disability comes to an end.

#### When the disability comes to an end, the person without capacity may:

1. **Ratify the contract** – decide to adopt it despite making the contract without capacity.  
**OR**
2. **Leave the contract (void)** – the contract will be as if it never came to existence in the first place.

#### Minors:

A contract between an adult and a minor (under 18) is not binding on the minor, unless the minor ratifies the contract once they reach 18.

#### Exceptions:

1. Contracts for 'necessaries':
  - Minors are bound where a contract supplies them with 'necessaries', or goods that are deemed necessary to them.
  - **Sale of Goods Act 1979** A reasonable price must be paid for goods.
  - **Fancy waistcoats were not necessary for a student who was sufficiently clothed.**
2. Beneficial contracts for service:
  - Minors are bound where a contract supplies them services which are deemed beneficial to them.
  - Although boxing match was not beneficial, minors must follow the rules of the match.
  - If the facilities of football club are poor, there would be of no benefit to a minor.
  - If a minor footballer does not develop under his old contract, he can be released from it.
3. Contracts for continuing obligations

#### Mental incapacity:

**Someone will lack capacity if:** They are 'unable to make a decision for themselves in relation to the matter at the time the contract is made'.

It is not relevant whether the impairment is **temporary or permanent**, the key factor the court will take into account is whether the party to the contract was able to make a decision in relation to the subject matter of the contract in that moment **when the contract was signed**.

Those who are mentally incapacitated will still be liable to pay for 'necessaries'.

**Hart v Connor** If the contract is later **ratified** by the incapacitated party at a later date when they are not mentally impaired, the contract will be enforceable.

### Intoxication:

If a party to a contract is intoxicated, the same rules apply as if the person was **mentally incapacitated** (albeit temporarily).

**Matthews v Baxter** Ratification of the contract is possible after sobering up, however, without ratification, the contract will be void.

## PRIVITY OF CONTRACT

### GENERAL RULE:

**Privity of contract** = asks the question **who can sue** under a contract and who can be sued.

#### Example:

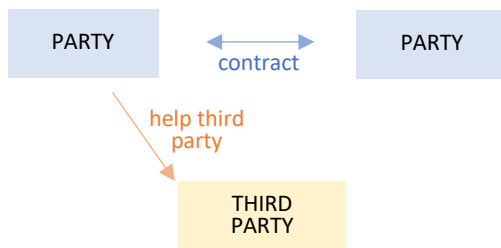
I need my room painted so I reach out to Katy, my gardener and ask her if she could do the work for me. If she agrees to paint my room, then me and Katy will both be parties to the contract.

If she decides not to take on the work, she may refer me to her son, Thomas, the local handyman. If I make a contract with Thomas, then Thomas and I will be parties to the contract. – Katy will not be a party to the contract in this case.

#### Two rules:

1. The burden of a contract cannot be imposed on a third party.
2. The benefit of a contract cannot be taken by a third party.

**A claimant can only make a claim in relation to a contract if he is the one who has given the consideration.**



If there is a contract made between two parties to benefit a third party, that **third party cannot enforce** the benefit they were to receive under the general rules, if the original parties to the contract refuse to perform their obligations.

However, this case will likely fall within the exception under the **Contracts (Rights of Third Parties) Act 1999** which we will look at below.

### EXCEPTIONS:

If you have a client who wants to make a claim under a contract to which they are not a party, they must look at whether one of the exceptions apply.

#### Main exceptions:

1. Trusts
2. Torts
3. Agency
4. Collateral contract
5. Assignment
6. Judicial activism
7. Contracts (Rights of Third parties) Act 1999

#### Trust:

In some cases, a third party might be able to successfully argue, that the **original party to the contract was holding the promise on trust for them**.

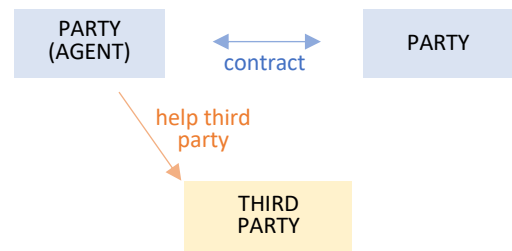
If so, the **third party could instruct the party to the contract to enforce the promise**. Once the money is paid to the party to the contract either under the contract or by the court, that money must then be paid to the third party, who will be the beneficiary of the trust in this case.

The word “trust” need not have been used to create a trust in this case, as the rules on implied trust will imply a trust in this situation.

For equity to operate, **it must be inequitable to go back on the promise** and deprive the beneficiary from the benefit of the contract.

#### Agency:

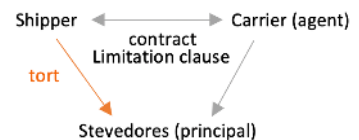
**Dunlop v Selfridge** A third party to a contract may make a claim relying on agency if one of the parties to the contract **acted as their agent**.



In this case, the agent will simply be **acting on the third party's behalf** and while in theory, the contract is between the agent and the other party, the third party is the true party to the contract.

Once the contract is signed, the agent will not be acting on behalf of the third party and the **third party becomes a party to the contract**.

**Scruttons v Midland Silicones**  
The courts set out the criteria that applied to agency situations.

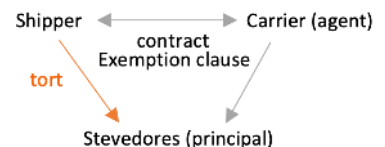


**Lord Reid:** There is an agency relationship if:

- The principal was intended to be protected – **it must have been clear in the contract that there was an agency situation**.
- Contracting party was acting as an agent
- They had an authority to act as an agent  
AND
- Principal has provided consideration

**New Zealand Shipping v Satterthwaite (The Eurymedon)** The principles of agency applied due to the wording of the contract.

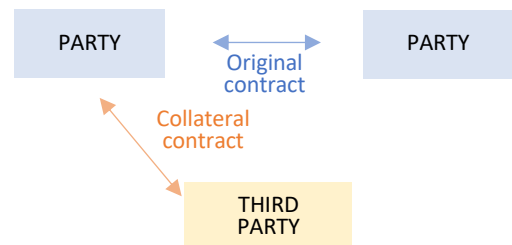
**Held:** The contract stated that ‘the carrier, its servants, agents and employees are exempted.’ They could rely on the principles of agency due to the terms of the contract. They have also provided consideration to the shipper and carrier by unloading the goods.



#### Collateral contract:

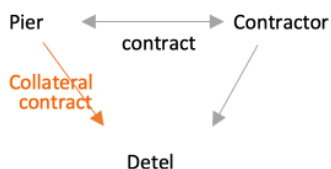
Creative solutions by the courts to avoid the unfair result that is created by strictly following the rules of privity.

The court may find that **there is another contract** which has not been expressly stated between the parties.



In this case, the court must find that **both parties intended for there to be a contract between them**.

**Shanklin Pier v Detel** While not an express contract, a new, separate contract may arise between one of the parties and the third party in some cases.



**Facts:** The owners of a pier wanted the pier painted. Detel manufactured paints and said that if they could ask their contractors to use Detel paints, they would guarantee that 'the paint will last 7 years.' They did that and the contractors used Detel paint, but the paint started to peel off after 3-4 months. The pier owners did not have a contract with Detel. The contractor had privity of contract, but the damage was suffered by the pier owners.

**Held:** There was a collateral contract between the pier owners and Detel which arose due to a unilateral contract.

#### Assignment:

If you have a right, **you can assign (pass on) the right** to a third party.

Two parties have a contract. One of the parties then assigns some or all of the rights from his contract to a third party. That **third party can now sue the original party** on the basis of breach of contract if they refuse to pay.

#### Example:

Thomas paints my room and I owe him £500 for the job he has done. He asks me to pay him £300 and pay £200 to his mother, Katy, as he owed her £200.

In this case, Thomas assigned some of the benefit of the contract to his mother.

#### Contracts (Rights of Third parties) Act 1999:

Third parties can now sue for a **benefit of the contract**.

**Contracts (Rights of Third Parties) Act 1999** Third party will be able to benefit from a contract if:

- The contract **expressly provides** that they could
- OR
- The contract purports to **confer a benefit**

However, the act can be expressly **excluded** so look out for clauses excluding it.

Third parties must also be expressly identified in the contract by name, class or description.

Third parties will then be treated as if they were parties to the contract.

Defences may apply.

## CONTRACT TERMS

### WHICH STATEMENTS AMOUNT TO TERMS?

**Terms** = describe the meaning and effect of a contract by setting out the rights and obligations contained within it.

**Gibson v Manchester CC** The terms of a contract must be clear and certain otherwise there is no agreement.

**Scammell & Nephew v Outson** If the court finds that an important term of the contract has been missed out from the agreement (written or oral), the contract will be to uncertain and unenforceable.

**Hillas & Co Ltd v Arcos Ltd** If the terms of a contract are uncertain (other than key terms in which case the contract is unenforceable), the courts may **imply terms into the contract** using existing trade practices and the parties' previous dealings.

#### Example 1:

A small shop makes a contract with a supplier to provide the shop pre-packaged food and drink. The contract includes the key details, except for the price, which is "to be agreed by the parties prior to the sale". The court is unlikely to uphold this contract as valid if supplier did not have enough products to sell in December due to the high volume of buyers. The price is a key term in a supply of goods contract, which was missing in this case, making the contract invalid and unenforceable due to uncertainty.

#### Example 2:

A small shop makes a contract with a supplier to provide the shop pre-packaged food and drink. The contract includes all the key terms, however, for time of delivery, there are no agreed clauses a part from the fact that the goods are to be delivered by the supplier to the shop's address. If there is a disagreement regarding this point, the court would likely uphold the contract, however, it would imply a term that the "goods must be delivered within a reasonable time".

It is important to **identify whether the statement** in question in relation to a contract dispute **was a term** of the contract. If the statement did indeed amount to a term of the contract, then this can **give rise to a breach of contract claim** if the promise is not fulfilled.

Without a breach of contract claim, you may still make a claim for misrepresentation (in relation to representations). While this would allow you to make a valid claim and receive compensation, the compensation will be limited based on whether or not the misstatement was intentional and this may limit the recoverable compensation.

It is always **best to rely on a breach of contract** claim where possible, and **only look into misrepresentation claims** where your client **cannot make a claim for breach of contract**.

#### Not a term:

1. **Mere puff** – mere puffs are not legally recognised and **have no binding effect**, however, they are subject to the **Consumer Protection Act 1987**

#### Example:

'Redbull gives you wings' in the Redbull ad is only a joke and no one would expect to actually grow wings after drinking a redbull.

**Carlill v Carbolic Smoke Ball Co** If a statement is made around the time of contracting which **amounts to a mere puff**, these statements **can become legally binding** if there is evidence in the contract or the circumstances that there was **intention for the mere puff to be binding**.

2. **Representation:**

Representations = statements of fact made before the contract is signed, which **convince the other party** to sign the contract. These representations are **not generally terms to the contract**, but they may become terms in certain circumstances, similarly to mere puffs. – eg. "The horse is not vicious." Or "This antique vase belonged to Elvis Presley."

#### How a term becomes part of the contract:

1. **Express terms:**

Express terms = terms agreed by the parties that they should form part of the contract. These are usually written into the contract or if the agreement is an oral agreement, then these

terms have been discussed and agreed to form part of the agreement.

2. **Implied terms:**

Implied terms = terms that have not been agreed by the parties expressly but they also form part of the contract by some mechanism.

#### Terms may be implied into a contract:

- By the courts
- By statute

### REPRESENTATION OR EXPRESS TERM?

Whether a statement is simply a representation or a term, can be identified by looking at what the contracting parties may have **intended**.

If this is **not clear**, the court will look at the **conduct** of the parties and infer the parties' intention using the objective test. – **What would the reasonable person believe by examining the conduct of the parties?**

#### The court will look at the following factors when establishing whether something is a term or a representation:

1. The **timing** between the representation and signing the contract.
2. The **importance** the parties place on the terms.
3. Whether one/both of the parties have some sort of **specialist knowledge** in the subject matter of the contract.
4. Whether the purchaser was influenced by the other party not to carry out any **checks**.

The court will not make a decision based on any one of these factors alone, **all of them will be taken into account** and **each factor will increase or decrease** the likelihood that the representation was a term.

#### Timing:

**Routledge v McKay** The **longer the time** between the representation and signing the contract, the **less likely** that the representation was meant to be a term. – eg. if the statement is made **2 weeks before** a contract, there is a low chance that the statement was the one which induced the party to sign the contract.

#### Example:

Carlos was in the process of selling his specialised bicycle to Dean, a potential buyer. Dean asked Carlos whether he knew what the year of the bicycle was, as it was difficult to tell this from the serial number. Carlos told Dean that was made in 1992. They have signed a contract a week later, and the contract did not mention the year when the bicycle was made.

A few months later, Dean takes the bicycle to an expert to install some new parts, then the expert tells him that the bicycle was actually a 1989 model, not a 1992 model. Dean now wants to return the bicycle and get his money back. If this case were to be heard by the court, the court would take into account the timing of the statement versus the signing of the contract, and the representation will likely have not become a term of the contract, as a week has passed since the statement was made and the signing of the contract.

#### Importance:

**Bannerman v White** The parties must have placed **importance on the truth of the statement**. If they did, it is likely that the statement was a term.

The court will examine the importance of the statement from the perspective of the party to whom it was made. – eg. If the person hearing the statement would not have signed the contract without that statement, this means high importance.

#### Specialist knowledge:

**Dick Bentley Productions v Harold Smith** If one of the parties have **specialist knowledge** or if they are expert in the subject matter of the contract, then the court will usually decide against them in a dispute. This is because they will have had a higher bargaining power and should have known what the consequences of the contract were.

If a specialist Seller has made a statement to the other party (who did not have specialist knowledge), **their statement will be** deemed to be a **warranty** by the courts. On the other hand, if the Seller is a private Seller without any specialist knowledge, their statement will simply be a representation.

#### Example 1:

Callum is a garden specialist with great knowledge in lawnmowers. A customer comes into his shop, intending to buy a lawnmower. She mentions that she does not know much about lawnmowers, but wishes to buy one which will last a long time and will require low maintenance. Callum recommends his own brand of lawnmowers and tell her that this one is long-lasting and that he highly recommends it.

The customer buys the lawnmower which ends up breaking after 6 months of use. When the customer returns to Callum, he refuses to give her a refund, saying that his statement that the lawnmower was long-lasting was not a term of the contract. The court will likely disagree with this, and decide that Callum's statement was a warranty due to his expertise.

#### Example 2:

Eva is a make-up artist, and she responds to an ad, whereby someone is trying to sell their vintage make-up collection. Eva meets the seller, Lizzie, in person. Lizzie tells her, that she does not know much about the collection or make-up in general, and that she inherited the collection from her late mother, and believes that it belonged to Marilyn Monroe's makeup artist. She tells her that she is expecting to sell it for around £3,000.

Eva tells Lizzie that she is a makeup expert and the make-up appears to be from the 1970s and could not have been owned by Marilyn Monroe's makeup artist. Although Eva knows that this is not true and is only trying to get a bargain, her statement convinces Lizzie to sell the collection to Eva for £110 instead. Later Lizzie realises that she had been lied to and make a claim. The court is likely going to find that there is no contract and that the makeup collection should be returned to Lizzie.

#### Checks:

If a seller tells the buyer not to carry out checks, then this is effectively a promise that what they are telling the buyer is true.

This does not generally apply to auction sales.

### EXPRESS TERMS:

These are terms which have **expressly stated to form part of the contract**, and they will typically be written into the contract.

As we have seen earlier, in some cases, **representations may be express terms** to the contract, if they were of particular significance in relation to the agreement.

#### Construction of terms – What does the term mean?

Unfortunately, not all contractual clauses are clearly drafted.

If the parties cannot agree as to what a particular clause were to mean in the contract, the court will identify what the **parties' intentions** must have been at the time of contracting **by relying on the objective test**.

**Parole evidence rule = extrinsic evidence** (evidence from outside the contract) **cannot** be taken into account to vary or retract from a written contract, where the contract is wholly written.

This means that **if the contract is in writing**, in most cases, you cannot use what was said around the time of making the contract to deny or dispute the written terms of the contract. This includes both oral and written statements.

What will become the terms of the contract are **only the terms contained** in the written contract.

#### Example:

A wholesaler decides to import vapes into the UK. The supplier delivers the vapes from Japan so the wholesaler contracts with the shipping company, and requests that the products are to be shipped below deck. The shipping company promises to ship the products below deck, however, there is no mention of this in the contract. The products are shipped on deck and the majority of the vapes are damaged. The court will likely decide that the oral promise was a term in this case, and that the contract was part-written, part-oral.

#### Exceptions:

- **Contracts not wholly written:**

If the contract is one which is part-written, part-oral, then the parole evidence rule does not apply.

#### Example:

If Jonathan, a hairdresser tells you at the time of contracting, that the hair dye used on your hair will last you 7 weeks and it only lasts 2 weeks, the contract will be part-written, part-oral.

- **Collateral contracts:**

There was another contract formed, varying or altering the original contract. This other contract might be an oral contract.

These contracts run independently of the original contract.

- **Onerous terms:**

Onerous terms must be very obvious/pointed out the other party, otherwise invalid.

- **There is ambiguity in the contract: Robertson v Jackson**

If the contract is not clear on certain points, the court will adduce external evidence to clarify the meaning of the contract.

#### Entire agreement clauses:

Entire agreement clauses are inserted into the agreement to **exclude the parole evidence rule and will be upheld by the court**. These clauses assert that the contents of the contract form the entire agreement between the parties. However, this can sometimes cause unfairness and the court do recognise that.

### IMPLIED TERMS:

Terms implied into the contract by some mechanism.

The courts/statute **will only imply terms** into the contract if the parties must have intended the term to be a part of the contract, as it was **necessary for business efficacy** (necessary to the essential functioning of the contract).

The test of necessity is a **lot higher requirement** than the test of reasonableness. Even if a term would be reasonable to imply into the contract, the court will only do so, if it is **necessary**.

#### Implied by the courts:

##### Implied in law:

A term can only be implied into the contract if it is 'a necessary incident of this type of contract'. Terms can be implied for **business efficacy**, and will be based on the **nature of the contract**. – **Liverpool City Council v Irwin**

##### Implied in fact:

- \* **Implied as a one-off** – to ensure business efficacy of the contract. The parties did have intention, but it was imputed intention that was never discussed.
- \* **Rules of trade custom** – will be implied terms.
- \* **Previous course of dealing** – will imply the terms in the new contract as used in the old contract. Previous course of dealings have to be consistent and regular. Regularity will be a question of fact. – eg. **when buying ships, buying one per year should be enough, but when buying chocolates, buying one every week will be regular.**
- \* **Obvious terms** – use the "Officious bystander" test, to see if the term was so obvious that the parties must have intended for the term to be included. – eg. **if a car is being sold, it does not need to be discussed that the car will have four wheels, as it is so obvious.**

#### Implied by statute:

##### Sale of Goods Act 1979: \*B-to-B\*

**s.12-15 Sale of Goods Act 1979** **Rely on this act if the contract is for the sale of goods and it is a contract between two businesses (Business-to-business).**

##### Implied terms: s.12-15 Sale of Goods Act 1979

- \* The seller must have good title to the goods so they are able to legally transfer them to the buyer.
- \* The items sold must be of satisfactory quality.
- \* The items sold must be fit for the buyer's particular purpose, if the buyer told this to the seller.
- \* **If the sale is sale by sample:** then the goods must correspond with the sample.
- \* **If the sale is sale by description:** then the goods must correspond with the description.

### Potential remedies:

Right to reject within 30 days, repair/replacement, price reduction, right to reject after 30 days if the fault was discovered after 30 days.

### Consumer Rights Act 2015: \*B-to-C\*

**Consumer Rights Act 2015** Rely on this act if the contract is for the sale of goods and the buyer is not a business (Business-to-Consumer).

### Implied terms:

- \* Right to supply
- \* Description
- \* Satisfactory quality
- \* Reasonably fit for a particular purpose
- \* Sample

Same provisions as for the SGA 1979 above, just use a different statute.

### Potential remedies:

Right to reject within 30 days, repair/replacement, price reduction, right to reject after 30 days if the fault was discovered after 30 days.

#### Example:

An airfryer which fails to heat up to the required temperature in order to airfry the food placed inside it is not of sufficient quality and not fit for purpose, which is to airfry certain food items.

### Supply of Goods and Services Act 1982: \*B-to-B\*

**Supply of Goods and Services Act 1982** Rely on this act if the contract is for the supply of services and both parties are a business (Business-to-Business).

### Implied terms:

- \* Reasonable care and skill – you must not be negligent while supplying the service.
- \* Within a reasonable time
- \* Pay reasonable consideration

Same provisions as for the SGA 1979 above, just use a different statute.

#### Example:

Laura is a plasterer and she is contracted to plaster a business' head office. There is no deadline agreed by which Laura must complete the works. Despite this, the SGSA will imply into the contract that she must complete the works within a reasonable time using reasonable care and skill.

### Potential remedies:

Repeat performance of the service, price reduction

### Supply of Services Consumer Rights Act 2015: \*B-to-C\*

**Supply of Services Consumer Rights Act 2015** Rely on this act if the contract is for the supply of services and the buyer is not a business (Business-to-Consumer).

### Implied terms:

- \* Reasonable care and skill – you must not be negligent while supplying the service.
- \* Within a reasonable time
- \* Pay reasonable consideration

Same provisions as for the SGA 1979 above, just use a different statute.

### Digital content:

### Implied terms:

- \* The content must be of **satisfactory quality** (the court will take into account the description of content, the price and how it was advertised)
- \* Must be fit for a particular purpose
- \* Must be as described

### Potential remedies:

Repair/replacement, if that is not possible, then price reduction

## CLASSIFICATION OF TERMS:

### Types of term:

1. Conditions
2. Warranties
3. Innominate terms

**Conditions** = a term in the contract that goes to the root of the contract (an important term).

**Warranties** = a term in the contract that is less important.

### Conditions:

The word condition carries a specific legal meaning in this case which is an important term to the contract.

There are two phrases: 'condition precedent' and 'condition subsequent'. These are conditions that are contingent on some event to trigger the condition which will then come into effect.

### Can be defined by:

- \* Statute
- \* The parties
- \* Courts

### Statute:

### Sale of Goods Act 1979:

**Sale of Goods Act 1979** Rely on this act if the contract is for the sale of goods and it is a contract between two businesses (Business-to-business).

### Sale of Goods Act 1979 s.12-15 are all classed as conditions.

Goods must fit the description size exactly, even if the size of the product would not make a difference to the buyer. This is a technical breach. Now the rules have changed as this was seen as abuse of the rules.

**s.15A Sale of Goods Act 1979** The breach of these conditions may be treated as a breach of warranty if:

- \* There is a slight/technical breach of ss.13, 14 or 15  
AND
- \* Rejecting the goods would be unreasonable

### Consumer Rights Act 2015:

**Consumer Rights Act 2015** Rely on this act if the contract is for the sale of goods and the buyer is not a business (Business-to-Consumer).

CRA **does not classify its terms** as either conditions or warranties.

### Supply of Goods and Services Act 1982:

The terms implied by this act are treated as **innominate terms**.

### Supply of Services Consumer Rights Act 2015:

The terms implied by this act are treated as **conditions**.

#### Example:

William hired out a catering company to cater for his daughter's graduation party. Unfortunately, the catering company did not perform as expected. They have arrived late and did not prepare all the food that was on the menu. They have also failed to setup the tables which had to be done by William himself. The company will have breached the terms implied by the SGSCRA to supply the service with reasonable care and skill. This was a condition that was breached.

### Parties:

- \* If a term is defined as a condition in the contract, the courts will give effect to this.
- \* If a term is defined as a condition, but this leads to an unreasonable result, the parties must be particularly clear in the contract that this is the result they want.

### Court:

The courts establish precedents and they held that certain terms will be conditions.

**'Expected readiness to load' clause will always be a condition.**

This clause means that one party must inform the other when the ship is in the dock ready for the goods to be loaded onto it.

**Time of performance is always a warranty except when the contract says 'Time is of the essence' in which case it becomes a condition.**

Time of performance is of the essence in all commercial contracts but not time of payment.

### Innominate terms:

**The Hong Kong Fir** Innominate term = a term where it is not possible to tell if the term goes to the root of the contract.

**Once decided whether the term goes to the root of the contract, it will then be treated as a condition or warranty.** An innominate term does not become a condition or warranty it will be simply treated as such.

Advertising peas during a memorial service was bad advertising and not notifying the company of this was seen as a breach of a condition due to the seriousness.

**If the delivery date is wrong in a deliver clause**, then the buyer will not be able to meet the deadline they might have

**If there is no clause in the contract, the default position applies**, which is that the seller must deliver the goods within a **reasonable time**. This is uncertain, so advise your client to include a delivery clause in the contract.

#### **Is time of the essence?**

##### **Time of payment:**

If no express term for time of payment: time is not of the essence.

##### **Time of delivery:**

**If there is a clause stating that time is not of the essence**, then late delivery will be a breach of warranty only.

**If there is a clause stating that time is estimated only**, then the court will interpret this to mean that time of delivery was not important for the parties and there is no obligation to deliver on time.

##### **If no clause, default position:**

There is no implied term as to whether or not time of delivery is of the essence.

**If seller** is contracted to **send the goods** to the buyer, then they must send the goods within a reasonable time.

The court will rarely imply into a contract that time was of the essence. However, the court did imply into a contract that time was of the essence if **even a small delay would deprive the innocent party of substantially the whole benefit of contract**. – for example, if the reason to contract was to meet the deadline.

#### **EFFECT OF A BREACH:**

##### **Breach of a condition:**

##### **The innocent party has a choice (right of election) to:**

- Terminate the contract and claim damages
- OR
- Affirm the contract and claim damages

##### **Breach of a warranty:**

**The innocent party can only claim damages.**

##### **Breach of an innominate term:**

Rights of the innocent party are uncertain. It depends on how the court decides.

If the innocent party believes that this was the **breach of a condition** and decides to terminate the contract, and the court later decides that this term was only a warranty, then **the other party can sue them for wrongful termination**. – It is always best to advise your client to treat the term as a warranty on in this case, for the purposes of the remedies available to them.

##### **Breach of terms implied by CRA 2015 (B-to-C):**

- \* Consumers can use a number of remedies.
- \* Right to reject in the first 30 days.
- \* Right to repair/replacement of goods.
- \* Reduction of price and final right of rejection.

#### **VARIATION OF TERMS:**

Business relationships change over time, so occasionally it may be necessary to vary the terms of commercial contracts.

**Both parties must agree to the variation, preferably in writing.**

Unilateral variation (ie where only one party can make a change) is only valid under specific circumstances if this has been agreed in advance.

##### **Methods of varying a contract:**

1. **Written variation**
2. **Oral variation:**  
Valid, however, it can be difficult to enforce. Making a recording of the oral variation/having witnesses helps enforcement.

##### 3. **Variation by conduct:**

Often seen in construction contracts or where a contractor has deadlines to meet. However, this can lead to an implied change in the contract.

In some cases, **sustained minor breaches**, if the other party acquiesced (said nothing), may also lead to an implied change of terms, incorporating the conduct amounting to the breach into the contract.

##### 4. **Unilateral variation:**

**Generally invalid.** However, if both parties agree in the contract that unilateral variation is an option, then such variation will be valid. This will likely only apply to certain specified terms.

##### **Waiver:**

One party may waive (give up) certain rights under a contract for a set period of time. This can be done orally or in writing. Once they have agreed to do so, the waiver is binding, even if they change their mind.

##### **Sustained minor breach:**

If one party consistently accepts minor contractual breaches, and a dispute then arises regarding these breaches, previous acceptance will be taken into account by the court.

# EXEMPTION CLAUSES

## INTRODUCTION:

### Definition:

An exemption clause is a clause that will change a party's obligations to pay damages.

**Exemption clauses = 'a term which excludes or modifies an obligation, whether primary [or] general secondary.'**

### Two types of exemption clauses:

1. **Exclusion clause** – this will exclude liability completely
2. **Limitation clause** – this will limit a party's liability, so that party will only pay a part of the loss.

These types of clauses are put into contracts by a party that has more negotiating power over the other.

These are usually seen to be added by large businesses where the consumer is not able to negotiate the terms of the contract they are signing as they have weaker bargaining power.

### Common law controls:

- \* Incorporation
- \* Construction

### Statutory controls:

- \* Unfair Contract Terms Act 1977
- \* Consumer Rights Act 2015

### When solving questions on exemption clauses:

1. Identify the **liability**
2. Only if you have found some form of liability, then look at whether the contract has been successful in excluding/limiting it. – check whether the contract contains **any exemption clauses**.
3. Check whether the exemption clauses have been **incorporated** into the contract.
4. Check whether a reasonable person would **construe** the clause as such that it would cover the breach.
5. Check whether any of the **statutory controls** apply to remove the binding effect of the clause.

## INCORPORATION:

In the past, the courts have not been able to cross out clauses that they deemed unfair so when encountering these clauses, they wanted to make sure that these clauses were really a part of the contract and have been properly incorporated.

### Incorporation may happen by:

- \* Signature
- \* Notice
- \* Previous course of dealings
- \* Trade custom

### Incorporation by signature:

#### General rule:

If an agreement is signed, in the absence of fraud, it will be immaterial whether both parties have read the terms of the agreement.

#### Exceptions:

1. If there is an overriding oral assurance.
2. If the document given to you is not reasonably expected to have a contractual effect, then it won't. – eg. *Timesheets*.
3. 'Non est factum': if you are incapacitated from understanding what is in the document, you will not be bound even if you signed it.

### Incorporation by notice:

**Notice** = bringing to the attention of the other party what the contract will contain.

**Reasonable notice:** the party relying on the clause must take reasonable steps to bring the clause to the other party's attention.

**Referring to the term is usually enough for the terms to be incorporated.**

**If the term is particularly onerous terms, then the party relying on the term must take more effort to make sure that the other party understand the term.**

### Example:

A woman purchased a ticket to travel by rail from London to Birmingham. She received her ticket after her purchase. On the back of the ticket, there was a term excluding the train company's liability for losses caused to customers as a result of the train being delayed. The woman's train was delayed by half an hour and she missed a connection as a result, and had to buy another ticket.

In this case, the train company was unsuccessful in excluding liability for the delays as the onerous term has not been pointed out to the woman and the term was only revealed to her after her purchase, and not before.

### Incorporation by previous course of dealings:

If there had been previous dealings between the parties, then it can be assumed that the new contracts will be on the same or at least similar terms to the past contracts.

### In order to establish previous dealings:

1. The dealing must be consistent  
AND
2. Regular – Contracting 3-4 times in 5 year was not regular enough. 5 similar contracts made in 13 months was regular enough. For big contracts, a lower frequency will be enough.

### Incorporation by trade custom:

If there is a recognised custom in that industry to use some specific implied terms, the court will take those into account.

### Other key considerations:

#### Timing:

The clause must be a part of the contract before it is signed.  
The clause must be shown to a carpark customer before the automatic barrier.

#### Nature of document:

If the nature of the document is not one to be expected to be legally binding, then it is unlikely to form part of the contract.

## CONSTRUCTION:

**Would a reasonable person construe the clause as such that it would cover the breach?**

The court will interpret the clause using its ordinary, natural meaning. Would the clause cover the breach?

### Contra proferentem rule:

- \* If there is any ambiguity in the clause, it will be construed against the person relying on the clause.
- \* The starting point of the court is the ordinary meaning of the word.

If the limitation clause in the contract is sensible about the limit, the court is more likely to uphold the clause.

### When excluding liability for negligence:

**You must clearly state that you are to exclude liability for negligence,** otherwise the wording may be construed to mean something else.

If one of the parties purports to exclude negligence, this is not something that the general public would agree to so the wording on this must state that what is being excluded is negligence, otherwise the court will construe it to mean something else.

## STATUTORY CONTROLS:

First, differentiate between Business contracts and consumer contracts as different rules apply depending on the type of contract you are dealing with.

**Business to business – Unfair Contract Terms Act 1977**

**Business to consumer – Consumer Rights Act 2015**

**A party is dealing as a consumer if it is not dealing in the course of its business.** A company may be a consumer if the purchase is not integral to their business.

**Business** = includes a profession and the activities of a public and local authority.

### UCTA 1977:

The relevant test under the act is the **reasonableness test**, not unfairness as the name would suggest.

### Scope:

- \* Only deals with **business-to-business contracts**
- \* Only deals with exemption clauses and does not deal with any other terms
- \* Deals with business liability (contractual and tortious)
- \* Deals with non-contractual notices – eg. where the premises have signs trying to limit liability.

#### It controls clauses which tries to limit/exclude liability for:

- \* Negligence
- \* Breach of a contractual term
- \* Breach of a term implied by SGA or SGSA

#### **Negligence:**

**Negligence** = is a 'breach of any express or implied contract term to take reasonable care or exercise reasonable skill'.

Eg. A breach of s.13 Supply of Goods and Services Act 1982.

If the term is trying to exclude personal injury or death caused by negligence, the exemption clause will be invalid.

If a term is excluding 'other loss or damage', then the exemption clause must be reasonable in order to be valid – look at **s.11**.

#### **Breach of a contractual term or an implied term:**

##### Breach of a contractual term:

This means express terms.

If the parties are dealing on the basis of standard terms of business, then the reasonableness test in s.11 applies.

If the parties are not dealing on the basis of standard terms of business, and the contract is negotiated, then the court will presume that the terms are reasonable.

**If the general terms of the main agreement are not negotiated, even if the other related agreements are negotiated, means contracting on general terms.**

##### Breach of a term implied by SGA or SGSA:

This is an implied term, that **cannot** be excluded/limited.

##### Breach of any other implied term:

Go through the reasonableness test in s.11.

#### **The Reasonableness Test – s.11:**

**The test for reasonableness must be considered in the circumstances existing at the time of contracting.**

What is reasonable is a question of fact to the court.

Also look at the non-exhaustive list of guidelines in **Schedule 2**.

##### Apply UCTA Reasonableness test:

#### **s.11(2) + Sched 2 Schedule 2 Guidelines – indicative 'Grey List':**

These have a general application to the requirements of reasonableness.

##### **Fact pointing to reasonable**

###### **Type of clause:**

Limitation of liability

###### **Knowledge of clause:**

Buyer must have known of the existence of the term because:

- \* Capital letters, bold, red or underlined to make Buyer aware.
- \* Knowledge/experience with these type of clauses

###### **Negotiation?**

Buyer could have insisted on amending the clause before entering the contract but did not do so.

###### **Bargaining power?**

Buyer has strong bargaining power and could have chosen to do business with another supplier.

###### **Contract inducements:**

Received discounts to accept clause

##### **Facts pointing to unreasonable**

###### **Type of clause:**

Outright exclusion

###### **Knowledge of clause:**

Buyer did not know of the existence of the term because

- \* Buyer never contract with this Seller before,
- \* Clause blends in as to "hide" the clause.

But arguably, should read contract before signing.

###### **Negotiation?**

No lawyers involved or simply signed standard terms.

###### **Bargaining power?**

Buyer was in a weaker position, never having contracted with the Seller before or having no solicitors, needing more sales.

###### **Contract inducements:**

Received no inducement.

##### **Parties' resources and the availability of insurance:**

The injured party has insurance or resources to pay for the losses.

##### **Parties' resources and the availability of insurance:**

The injured party has no insurance nor resources to pay for the losses.

##### Example:

A contract to supply a file management software to a grocery store, includes a clause limiting the liability of the software company to £250,000. The software collapses, losing all of the grocery store's data, causing £3.5 million in damages. The insurance of the grocery store for this type of damage is limited to £500,000 and the business has no other resources. The software company has an insurance covering losses up to £5 million. The clause will be unreasonable as the grocery store may only pay for the damages by increasing its prices and paying less to its staff, while the software company could have paid this amount from the insurance payout.

The proferens (= party seeking to rely on the clause) must prove reasonableness.

##### What is reasonable is decided on a case-by-case basis:

There could be no appeals made on reasonableness, the finding of which is at the discretion of the court.

**If businessmen dealing with large companies with equal bargaining power would believe that the terms are reasonable, then the courts will not intervene.**

Unless the court is satisfied that one of the parties is taking unfair advantage of the other or the terms are so unreasonable that they would not be properly understood/considered, then the court will not interfere with the agreement of the parties.

**If the clause is so unreasonable that it contradicts a basic assumption of responsibility.**

#### **CRA 2015:**

##### Scope:

Only deals with business-to-consumer contracts but applies to any term in the contract, not only exemption clauses.

**All terms must be transparent, legible and fair.**

##### Certain exclusions are unfair such as:

- Excluding or limiting liability for **death/personal injury** caused by negligence
- Excluding or limiting the conditions implied by the CRA

If a term is unfair then will not be binding on the consumer.

A term is not binding if it tries to restrict liability for any of the implied terms in the Act:

1. Right to supply the goods
2. Goods of satisfactory quality
3. Goods to be fit for a particular purpose
4. Goods to be as described
5. Goods to match any sample examined

##### Excluding liability when providing services:

**An exemption clause is not binding if it is to exclude trader's liability arising under s.49 for negligently performing the service.**

If the clause is only limiting liability for breach of s.49: then it may be binding if it meets the below conditions:

- It does not limit liability for death/personal injury caused by breach of duty of skill and care
- It does not limit liability below the purchase price AND
- It passes the **fairness test** of the act.

##### Fairness test:

- \* A contract term must be transparent (expressed in plain and intelligible language and, if it is written, legible) and prominent (brought to the consumer's attention in such a way that an average consumer would be aware of the term). – **s.62 CRA 2015**
- \* A term is unfair if it causes a significant imbalance in the parties' rights and obligations under the contract to the detriment of the consumer.

The fairness test **does not apply to key terms of the contract**, such as the description of the product or the price, as long as these terms are

transparent and prominent. However, all other terms can be assessed for fairness.

The fairness of a term is to be determined by taking into account the nature of the goods or services for which the contract was concluded and by referring to all the circumstances existing when the term was agreed.

**Examples of unfair terms:**

- \* Excluding/limiting liability for death/personal injury resulting from the act or omission of the business.
- \* Excluding/limiting the rights of the consumer if there is non-performance by the business, either partial or total.
- \* Allowing the business to terminate the contract without reasonable notice.
- \* Binding the consumer to terms they have not agreed to without the possibility of opting out.
- \* Extending the term of a fixed term contract automatically if the consumer did not agree to this.

**Consequences:**

If a term is found to be unfair under the fairness test, it is **not binding** on the consumer, though the contract will continue to bind the parties if it is capable of existing without the unfair term.

## BREACH OF CONTRACT CLAIMS – SALE OF GOODS CONTRACT FLOWCHART

### Breach of contract – Structure:

1. Identify claim
2. Identify terms breached
3. Is term breached a condition/warranty?
4. Remedies?
5. Has the right to reject been lost?
6. Exclusion or limitation of liability?
7. Which remedies remain?

### IDENTIFY THE CLAIM:

Breach of contract / oral term and what happened – eg. non-delivery of goods.

### BREACHED EXPRESS/IMPLIED TERM?

Breached terms: Express or implied? Identify term.

#### Implied terms:

- **s.13(1) Sale of Goods Act 1979** The goods will correspond with the **description**
- **s.14(2) Satisfactory quality**  
Price may be relevant, low price = lower quality expectation.  
**s.14(2C)** Complainant will have no remedy if testing prior to purchase indicates a functional defect but the buyer proceeds with the purchase.
- **s.14(3) Fitness for Buyer's particular purpose**, made known to the seller. – eg over the phone.

### THE TERM BREACHED A CONDITION OR WARRANTY?

**s.13(1A)** s.13 is a condition

**s.14(6)** ss.14(2) and 14(3) are conditions.

### REMEDIES:

If a condition was breached, has **prima facie choice of 3 remedies:**

1. Reject goods, terminate and claim damages
2. Reject goods, affirm contract, contractual performance (to deliver the goods 2nd time)  
OR
3. Accept the goods but still claim damages, by treating the breach as a breach of warranty only.

### HAS THE RIGHT TO REJECT BEEN LOST?

The right to reject goods is not available if:

- (a) **s.15A** breach is so slight, it would be unreasonable to do so or
- (b) Buyer has expressly, or by implication, waived the breach; or
- (c) **s.35 and s. 11(4)** if the buyer has accepted the goods.

If so, only 1 remedy for the buyer: accept the goods but still claim damages.

### IS THERE AN EXCLUSION OR LIMITATION OF LIABILITY?

Identify limitation or exclusion of liability clause.

#### **Direct or indirect and consequential loss?**

Exclusion/limitation clause must apply to these types loss, otherwise clause is not relevant.

**Direct loss:** **Watford Electronics** Direct losses = arise naturally from the breach.

**Indirect loss:** **Hadley v Baxendale** Must have been reasonably in contemplation when the contract was made.

**Consequential loss:** Company and operational expenses.

#### **UCTA:**

UCTA applies if:

1. Standard written terms.  
**Watford Electronics** Court follows the “hands-off” approach and not intervene if: negotiated the terms + experienced/of equal bargaining power or legal advice.
2. Excludes or limits ss. 13-15 SGA implied terms.

This is a B2B contract so the limitation of liability will be valid if it satisfies the requirement of reasonableness. If not, the term will be void.

**s.26(1)-(2) UCTA is not relevant to international supply contracts**, it only applies to UK contracts.

#### Apply UCTA Reasonableness test:

#### **s.11(2) + Sched 2 Factors to assess reasonableness:**

- \* Type of clause
- \* Knowledge of the clause
- \* Negotiation
- \* Bargaining power
- \* Contract inducement
- \* Parties' resources

**s.11(4)** Another factor: Seller's available resources to meet liability + insurance cover.

### WHICH REMEDIES REMAIN?

**If the limitation is held reasonable**, limitation is valid, the Buyer can: claim money back or receive a replacement or damages for repair costs, but no damages – eg. for delay.

**If held unreasonable:** then the limitation will be void and Buyer's remedies remain all those stated above under the “Remedies” heading.

## VITIATING FACTORS

While a contract may have been prima facie validly formed, it **may become void, voidable or unenforceable** if one or more vitiating factors apply.

### Vitiating elements/factors:

- Misrepresentation
- Mistake
- Unfair contract terms
- Duress and undue influence
- Illegality

## DURESS:

**Duress** = 'some form of coercion or threat to the person, property, or to a person's financial interests.'

### Example:

Where one person threatens that the other will be harmed, they will damage something they own or make them bankrupt. This last one is a special form of duress called economic duress.

### Effect of duress, if proven:

The contract will be **voidable** (different from void), and the court can set it aside.

**Voidable** = the innocent party has a right to choose whether to keep the contract in place or set it aside. If they choose not to go ahead with the contract and they then make an application to the court, the court will set the contract aside as per their right.

**Void** = the contract is void from the beginning and the innocent party has no choice whether to keep the contract. Proving mistake will render the contract void (not voidable).

### Types of duress:

1. Duress to the person
2. Duress to goods
3. Economic duress

### Duress to the person:

This is their contract was entered into by one party because of **threats made to their person**. – eg. threats to kill or injure them if they do not sign a particular contract.

Threat to the person need not be the only reason for entering into a contract, but it must be one of the reasons.

### Duress to goods:

This comprises of the unlawful detention of someone's goods.

**Test for duress to goods is the 'but for' test.** But for the threat, would the innocent party have signed the contract. This is a higher requirement that we have seen in relation to duress to the person (must be one of the reasons).

### Economic duress:

**Economic duress** = a threat to the victim's financial interests.

### The test for economic duress: Pakistan International Airline Corp v Times Travel (2021)

1. There is a threat/pressure made to the victim. – they may have other choices, but those choices would not be practical
2. The threat/pressure is illegitimate, and the Defendant knows it is illegitimate. – pressure must be illegitimate, but differentiate this from rough negotiations which are acceptable
3. The threat/pressure caused the victim to enter into the contract.  
AND
4. The victim had no reasonable alternative option but to give in to the threat/pressure.

### Factors to decide whether there has been illegitimate pressure:

1. Pressure is a threatened breach of contract – if so, likely illegitimate, unless done in good faith.
2. Pressure is unlawful
3. Pressure is applied in bad faith – if so, likely illegitimate
4. Pressure denied the victim of a practical choice
5. The victim protested – if so, likely illegitimate
6. The victim affirmed – if so, unlikely to be illegitimate

Economic duress is an argument which is rarely accepted by the court in the context of **commercial contract negotiations** as there is an equal

bargaining power where both parties will enter into a fully negotiated contract.

### The victim protested or did not affirm the contract:

Protesting after signing the contract is evidence that you were put under pressure to sign the contract. – You should advise your client to protest as soon as possible and the longer you wait the less likely that your protest will be viewed as good evidence.

In particular, the latest you could protest is as soon as the pressure has been lifted.

Waiting for 8 months affirms the contract.

As soon as the invoice is sent, paying the original amount and refusing to pay the rest is a sign of protest.

### Significant cause:

This is a **'but for' test**. But for the pressure, the victim would not have entered into the contract.

## UNDUE INFLUENCE:

An **equitable doctrine** to ensure that when a party enters into a contract, their decision has not been unduly influenced.

Typically, duress is easier to establish than undue influence, so duress should be the first cause of action to try to establish before looking into undue influence.

**If undue influence is proved, the contract will be voidable** and the innocent party may choose to rescind it.

Similar to duress, however, duress is concerned with pressure while undue influence is concerned with **whether the innocent party made their decision through their own free will**.

### Types of undue influence:

1. Actual undue influence by overt acts
2. Presumed undue influence as a result of the relationship between the parties.
3. Third-party undue influence.

### Actual undue influence:

Undue influence must have been a factor for entering into to the contract, however, it need not be the only factor.

### Example:

An elderly woman is told by her daughter to sign a contract in relation to a family trust or face legal proceedings. She is afraid of her daughter and dislikes confrontation. Even though the threat is lawful, the contract will be set aside for undue influence.

### Presumed undue influence:

### Elements of presumed undue influence:

1. A relationship of trust and confidence between the parties.
2. When viewed objectively, the resulting transaction requires an explanation

This relationship will be presumed in fiduciary relationships:

- \* Parent and child
- \* Two partners in a partnership
- \* Doctor and patient
- \* Solicitor and client

In most other situations, the relationship of trust and confidence must be proven. – eg. in relation to spouses.

Once it has been established that undue influence should be presumed, the **burden of proof shifts** onto the other party to rebut the presumption, proving that there was no undue influence.

### Third-party undue influence:

Undue influence **need not come from the prospective party** to the contract but may come from a third party. – eg. if a solicitor wishes to enter into a contract with their elderly client, the solicitor's wife may unduly influence the client to enter into a contract.

## ILLEGALITY:

Contracts may be **void** for illegality. – eg. a contract to carry out criminal behaviour is illegal and void.

### Contracts illegal by statute:

Where the contract provides for the **performance of an act** that is against a rule set out in a statute.

### Contracts illegal at common law:

- \* Any agreements to **commit a crime** is illegal. – may also be illegal under the act that sets out the crime.
- \* Any agreements to **commit a tort** are also illegal.
- \* Contracts **prejudicial** to the status of **marriage and family life**. – eg. a contract restricting someone's right to marry or choose a partner, a contract where someone charges for finding another a marriage partner or a contract for the future divorce of a couple.
- \* Contracts prejudicial to **public safety**. – eg. transactions with an enemy country during wartime, contracts damaging to foreign relations.
- \* Contracts prejudicial to **the proper administration of justice**:
  1. Contracts to pay witnesses for giving witness evidence
  2. Contracts with judges relating to the outcome of a case
  3. Any agreements to conceal a crime would be illegal
  4. Agreements to undermine the court's jurisdiction

### Contracts damaging to the government:

Any agreements to trade with the enemy during war times would be illegal.

### Restraints of trade clauses:

**Restraint of trade** = a term in the contract which **restricts or limits** one of the parties in the contract in terms of the **business they can conduct** alongside the contract or once the contract has been terminated.

As a general rule, **restraint of trade clauses** inserted into agreements or employment contracts **are void**.

However, the restraint of trade clause may be upheld by the court if it only limits trade to the degree it is necessary to protect the legitimate business interest of the party wishing to rely on the clause.

# MISREPRESENTATION

## INTRODUCTION:

**Misrepresentation** = a misleading/false statement made to a party to the contract before signing the contract that made then enter into it.

### Effect:

Misrepresentation makes the contract **voidable**.  
Court may undo the contract by rescission. The remedy of rescission is available for all types of misrepresentation.

**Rescission** = an equitable remedy that takes the innocent party to the start before the contract was made.

### Distinguish from other statement:

- \* Mere puff
- \* Terms
- \* Representations
- \* Statements of fact – these are somewhere in between mere puff and representations.

## ELEMENTS OF MISREPRESENTATION:

### Actionable Misrepresentation:

1. Unambiguous – the statement should have only one meaning.
2. False – If the statement is not substantially correct, then it is false.
3. Statement of fact/law
4. Addressed to the party misled (directly or indirectly via a third party)
5. Induces the contract
6. Causes loss

### Statement of fact:

'A representation is not an undertaking to do, or not to do something. It is a statement asserting a given state of affairs.'

### Examples of statements of fact/law:

#### Conduct:

- \* Conduct could amount to a statement of fact.
- \* Deliberate concealment of a defect amounted to a false statement of fact if the seller did not disclose the defect.

#### Opinion:

- \* Opinion could amount to a statement of fact.
- \* If the party expressing their opinion is an expert or holds out to be an expert, then their opinion will be a statement of fact.

#### Future intention:

- \* Future intention is not a fact.
- \* No duty to inform of change of future intention.
- \* Dishonest statement of intention will amount to misrep.

#### Silence:

**Silence cannot be a statement of fact. There is no general duty of disclosure.**

#### Exceptions:

- **Contracts uberrimae fidei:** you must disclose all material matter when purchasing insurance.
- **Fiduciary relationships:** you must disclose the truth even if not asked.
- Half-truths = something that is true but gives the wrong impression. – **Dimmock v Hallett**
- Continuing representations = something that is true at the time but with the false representation that it will continue to be true.

### Is the statement material?

**Material statement** = statement relating to an issue that would influence a reasonable man.

### Use the objective test.

### If the statement is material – then inducement is inferred.

If a reasonable person would be influenced by this statement, then the court will infer that the Claimant was actually induced.

Inducement is inferred unless Defendant can prove Claimant was not induced (subjective test).

If the statement is not material – then there was no inducement unless the Claimant proves that they were induced (subjective test).

### Inducement:

The misrepresentation is only actionable if there was **material reliance on the false statement** by the victim of the misrepresentation.

The misrepresentation statement need not be the only inducement. There can be no inducement if the Claimant did not actually see/hear the misrepresentation.

No inducement if the Claimant did not actually rely on the misrepresentation when signing the contract.

## TYPES OF MISREPRESENTATION:

The reason why a Claimant will argue misrepresentation is because they want to get out of the contract (rescission).

### Four types:

1. **Fraudulent** – The tort of deceit
2. **Negligent misrepresentation** – **Misrepresentation Act 1967**
3. **Innocent misrepresentation** – **Misrepresentation Act 1967**
4. **Negligent Misstatement** – Tort of negligence, use this if the statement was made by a third party.

### Fraudulent misrepresentation:

**A false representation is made: knowing it was untrue or without belief in its truth or reckless as to its truth.**

Reckless as to the truth of the statement = the person making the statement closing its eyes as to the truth of the statement.

### Remedies:

- Rescission, Damages (extensive) and possible indemnity.
- Sometimes rescission is not enough, and damages can be claimed.
- Damages for fraudulent misrepresentation are extensive, meaning that these damages will put the innocent party back into the position before the contract was made.
- If, due to the misrep, the innocent party has accrued responsibilities to pay to another party, then they can also claim indemnities.

### Measure of damages is as for the Tort of deceit:

All loss must be 'directly flowing' from the transaction

Does not need to be foreseeable.

But cannot be rendered too remote by the Claimant.

### Negligent misrepresentation:

The court is willing to make a finding of negligent misrepresentation.

### Elements of negligent misrep:

1. False statement
2. No reasonable grounds to believe in its truth
3. No need for actual negligence

Burden of proof is on the Defendant to show reasonable grounds for belief, effectively disproving negligence.

### Remedies:

- Rescission or that is not possible, then damages are possible in lieu of rescission and if applicable, indemnity.
- Calculation of damages is the same as for fraudulent misrepresentation.
- Claim losses that flow from the misrepresentation (not the same as for fraudulent misrep which calculated on losses that flow from the transaction).

### Innocent misrepresentation:

The person who made the false statement can prove that they believed that the statement was true and they had reasonable grounds to believe that the facts represented were true. If this cannot be proved, then they will be liable for negligent misrep.

**Misrepresentation Act 1967** Burden is on the misrepresenter to prove that he: 'had reasonable grounds to believe up to the time the contract was made that the facts represented were true.'

### Remedies:

- Rescission or that is not possible, then damages in lieu of rescission and if applicable, indemnity.
- However, no right to substantive damages so you cannot claim the losses you have accrued. Your best outcome will be rescission.
- **Must inform the other party of intention to rescind.**

### **Negligent misstatement:**

Difficult to prove, only use it if you cannot claim for misrepresentation and you don't need rescission, only damages.

May also use this claim if the false statement that induced you into the contract was not the seller but a third party.

### **Claimant must prove: Hedley Byrne v Heller**

- Reliance reasonably foreseeable
- Relationship of proximity between parties
- AND
- Fair, just and reasonable to impose a duty

## **REMEDIES TO MISREPRESENTATION:**

### **Rescission:**

#### **Bars to rescission:**

- \* **Third party rights:** If a third party acquired rights in the contract innocently, then rescission will not be allowed.
- \* **Affirmation:** Even if a person doesn't want the contract, they can affirm it by conduct indicating that they don't wish to rescind.
- \* **Impossibility:** Court cannot allow for rescission if it is impossible. – eg. selling a company that no longer exists.
- \* **Lapse of time:** Court will not allow for rescission if a long time has passed. – eg. 5 years may be too long.

### **Indemnity:**

Indemnity is relevant if, after entering into the contract, the wronged party wasted money on a service so this amount is to pay off that party. – eg. if you purchase a car under misrep and then you make a contract for parking arrangements, you can claim indemnity on the parking arrangements.

**Indemnity is an equitable remedy.**

# MISTAKE

## INTRODUCTION:

**Mistake** = where one/both parties mistake the subject matter or the circumstances of the contract.

### Types of mistake

**Unilateral mistake:** Only one party is mistaken.

**Mutual mistake:** Both parties are mistaken in different ways.

**Common mistake:** Both parties are mistaken in the same way.

#### Example – Unilateral mistake:

Where one party to a contract lies about their identity on purpose so that the other party would enter into the contract.

#### Example – Mutual mistake:

Where one party wants to sell some squash, the vegetable, and the other person understands squash, the drink.

#### Example – Common mistake:

Where one party wants to sell a car, but while making the sale, the car is burnt down. Both parties are mistaken as to the current state of the car.

### Effect:

Mistake renders the contract **void** ab initio.

The parties believed that they have made a contract but there was never a contract to begin with. This is different from a contract that is voidable, because even if it ends up voided, that contract has run from the date it was made until the date it was voided.

**Mutual and Unilateral mistake** – Finding of mistake may mean that there was no agreement in fact.

**Common mistake** – Or it may mean that the mistake destroys the nature of the agreement.

**The mistaken facts must exist before the conclusion of the contract.**

## MUTUAL MISTAKE:

There must have been such ambiguity that no agreement could be found.

The test for agreement is the **objective test**.

**Raffles v Wichelhaus** If the court finds, using the objective test, that there was no agreement in the first place, the **agreement will have never been formed**.

## COMMON MISTAKE:

### Can arise in three ways:

- \* Res extincta
- \* Res sua
- \* Mistake as to whether it is possible to perform the contract

### Res extincta:

**Galloway v Galloway** At the time of the contract, both parties believe that the **subject matter of the contract exists** which is not in fact the case. – **this is usually the item for sale.**

If there is a mistake as to the existence of goods, that will fall within the claim of common mistake.

**Sale of Goods Act 1979** Where there is a **contract for specific goods and the goods, without knowledge of the seller, perish, the contract is void.**

### Res sua:

At the time of the contract, the buyer already owns the thing they are trying to purchase.

**Mistake must be operative and affect an essential fundamental quality of the contract.**

### Example:

Lever Bros owned a subsidiary in Nigeria. Mr Bell and Mr Snelling were chairman and vice chairman of Lever Bros and they paid them to resign as they did not want them to continue to be officers. Later the company found out that these officers breached their contracts and they could have been fired without payment. The company sued claiming mistake. The claim failed.

### Examples:

1. There was an auction of napkins that were said to have belonged to Charles I. Later it turned out that they were not, so their value dropped.
2. There was a painting which was painted by the painter Constable, but it turned out to be wrong. No mistake here, as the court held, the buyer wanted a painting of a cathedral and that is what they have received.
3. There was a ship that was struggling on sea and they made a contract with the Great Peace to help the crew. Later it turned out that the Great Peace was not as close by as they thought they were and wanted to terminate the contract.

### Mistake as to possibility of performance:

**Sheikh Bros Ltd v Ochsner** If both parties believe that a specific land should produce a set amount crops each year, and the contract is subject to the **production of this amount of crops**, the contract will be void if it later turns out that the land is **not physically capable** of producing that amount of crops.

## UNILATERAL MISTAKE:

Unilateral mistake can be made due to the expression of intention or the nature of document.

### Defence – Non est factum:

**Incapacity: where the person signing a document does not understand the nature of the document.**

If a document is **signed by fraud**, the party signing will not be held to it.

### Example 1:

A man was senile and could not recognise his own signature. He was induced to sign a document by fraud and he was not held to it.

### Example 2:

Where someone's son was buying a farm and the father signed a document to guarantee that his son will be able to pay for the farm. The son actually asked him to sign a guarantee for all of his debts. The father was illiterate.

Fraud cannot be argued if there had been negligence. – eg if A lady has lost her glasses prior to signing some documents. The court will find that she was negligent and could not argue fraud.

### Unilateral mistake as to identity:

**Unilateral mistake as to identity** = where one person mistakes the identity of another.

Eg. A person misrepresenting their identity when making a purchase on credit.

**Only the identity of the buyer can be essential to the contract, not their credit-worthiness.**

### Distance sales:

- \* In distance sales, the identity of the buyer is what is essential and so mistake will be allowed.
- \* Mistake will not be allowed if merely the credit-worthiness of the buyer is essential to the contract.

### Face-to-face sales:

- \* Mistake will not be allowed if merely the credit-worthiness of the buyer is essential to the contract.
- \* If the wronged party looked up the identity of the buyer, then their identity was essential to the contract. – Unlikely to be followed.
- \* Mistake will not be allowed if merely the credit-worthiness of the buyer is essential to the contract.

## TERMINATION

Every contractual obligation gives rise to a corresponding contractual right. Thus, where the obligation of one party is discharged, the corresponding right of the other party is extinguished.

### Example:

Under a contract for the provision of services, software access is being provided, the corresponding right is to sue the service provider if the software is not provided or if it is not up to standard. However, once the obligation is discharged, the corresponding right to sue is now extinguished.

Where all obligations arising from the contract are discharged, all rights are thus extinguished, a contract is discharged.

### A contract may be discharged by:

1. Performance
2. Agreement
3. Breach
4. Frustration.

## TERMINATION BY PERFORMANCE:

**Entire obligations rule: a contractual obligation is discharged by complete performance.** Where the promisor is unable or unwilling to give more than partial performance, there is no discharge of the contract – this is the case especially for lump sum contracts.

### Exceptions:

1. **If partial performance is accepted voluntarily by the innocent party,** the party in default will be entitled to a quantum meruit. He must be compensated for the value of the work done without profit.
2. **If the innocent party has no choice but to accept, no payment is due.** This may be due to:
  - \* A subsequent binding contract (new contract)
  - \* A term in the original contract (condition precedent or condition subsequent)

#### Condition subsequent:

A contract may contain a condition subsequent upon the occurrence of which obligations are discharged. – eg. “If my son dies, the contract is discharged.” If the event occurs, the contract is automatically discharged. **Facts:** the term of the contract was that the horse must hunt with a prescribed type of hound.

#### Condition precedent:

A contract may contain a condition precedent upon the occurrence of which obligations would commence – eg. “If my son is born, the contract commences.” If the event never occurs, the contract never comes into existence.

#### A subsequent binding contract:

- \* An agreement to discharge is effective if supported by consideration, if these obligations are wholly executory, then it is a mutual waiver. Only relevant if none of the parties started the performance.
  - \* **Pinnel's case** If partially performed, then an effective agreement to discharge is a deed on accord of satisfaction. Part-payment of debt can only be discharged by providing new consideration.
  - \* A simple part-performance does not discharge a contract.
3. **An equitable waiver may discharge a contract in certain circumstances.** – eg. the cases on promissory estoppel.
  4. **Performing the obligations in a way that was completely wrong did not amount to substantial performance.**

### Other rules:

**Divisible obligations will allow the contracted party to receive payment for each obligation completed.** If the contract sets out that each individual obligation will warrant the payment of money, then even if not all the obligations are performed, payment will be due. – eg. there is a difference between a contract saying: ‘I will pay you if you paint five paintings’ and ‘I will pay you for each painting.’

Performance by third party is not allowed if the person of the party carrying out the contract is important.

## TERMINATION BY BREACH:

**Breach of contract** = Where a party, without lawful excuse fails or refuses to perform what is due under the contract or performs defectively or incapacitates himself from performing.

### Types of breach:

1. **Breach of condition:** In this case, the innocent party has:
  - \* “Immediate right of election”
  - \* A choice to terminate or affirm the contract
  - \* An also claim damages
2. **Breach of warranty:** In this case, the innocent party has the right to sue for damages only.
3. **Breach of an innominate term:** In this case, the innocent party's rights will depend on the seriousness of the breach.

### Anticipatory breach:

**Anticipatory breach** = a type of breach whereby prior to performance one party informs the other they will not fulfill their obligations. In this case, the innocent party should argue frustration.

**Anticipatory breach may be express or implied by words or conduct.**

### Right of election – Affirmation:

When an innocent party is faced with a repudiatory anticipatory breach, he is under no obligation to sue at once, but can elect to affirm the contract and wait for the time of performance.

**The innocent party is allowed a period of time to decide between affirmation and termination.** If after the affirmation, the other party continues to refuse to perform, the innocent party can revoke the affirmation and terminate the contract.

Once the decision is made, it must be clear and unequivocal.

Obligations and rights remain on both sides, so the innocent party needs to carry out their obligations on their end.

### Limitations on affirmation:

- \* Where the other party's cooperation is required, affirmation may not be possible. – eg. to let the other party into the gardens to carry out the services.
- \* Affirmation is only allowed if the affirming party has a legitimate interest in affirming the contract.
- \* Legitimate interest means: not wholly unreasonable.
- \* The legitimate interest test will only be applied in ‘extreme cases’. Extreme cases: where it would be unreasonable to affirm and damages would be an adequate remedy.

### Risks of affirmation:

- \* Advise your client on the risks of affirmations.
- \* Client may subsequently breach the contract and may then be sued.
- \* Client may subsequently frustrate the contract and lose their rights to damages.

## FRUSTRATION:

**Frustration is a defence to a claim of breach of contract.**

Before going to look at frustration in a question, go through the part on terms of contract where you establish the breach and whether a condition or warranty has been breached. Then look at frustration as a defence.

### Definition of Frustration: Law Reform (Frustrated Contracts) Act 1943

- \* A supervening event – event arising after the formation of the contract
- \* Unforeseeable
- \* At no fault of either party
- \* Which renders the contract impossible/illegal/otherwise radically different

**Effect of frustration:** By operation of law, all future obligations will be discharged.

### Examples of frustration:

#### Impossibility:

#### Destruction of the thing:

1. Destruction of the music hall
2. Destruction of a thing that is closely connected to the contract. – eg. the factory, where machinery should have been installed.

### Unavailability of a thing:

1. This is a matter of degree so set out a ration of unavailability. Look at the length of unavailability and how long this is relative to the contract.
2. Unavailability for 5 months out of a 1 year contract was able to frustrate the contract.
3. There was no time limit in the contract, but the contract implied a reasonable time.
4. The time approach is only the starting point of the court.

### Unavailability of a person:

1. Incapacity: performer was not able to perform his contract due to being called to service.
2. Death

### Illegality:

A contract to do what it has been illegal to do cannot be legally enforceable.

### Government intervention:

Where the resources were requisitioned by the government, the contract was held to have been frustrated.

### Frustration of purpose:

**The 'Coronation cases'** However, it must be the common purpose of the parties.

#### Coronation cases:

1. **Krell v Henry (1903)**  
Facts: Henry hired a flat to watch the procession for the king's coronation. The coronation was cancelled so he did not want to pay the rent. The court held that the contract was frustrated. Krell advertised the flat to watch the coronation and the flat was only for day-time hire so this was evidence of his intention.
2. **Chandler v Webster (1904)**  
Facts: Chandler hired a ship so that they could watch the king look at the fleet. The court held that the contract was not completely frustrated as the fleet was 'well worth to look at' by itself.
3. **Herne Bay Steamboat (1903)**  
Facts: Cab hire ahead of time to make sure that the hirer could get to the racecourse. The court held that the cab did not know why they were taking the hirer to the racecourse and do not usually ask or care.

### Leases:

- \* Leases can never be frustrated even if someone else is occupying it.
- \* There would be some instances when the lease could become frustrated.
- \* In principle, leases can become frustrated, but the court will 'hardly ever' make such a finding. When looking at frustration of leases, consider ratio of unavailability to total length of lease.

### Not frustration:

#### Commercial impracticability:

**Frustration cannot be used to defend against commercial impracticability.**

Example: Contract to ship ground nuts in November. They were to go through the Suez Canal but the canal was being nationalised. If it was written in the contract that the ship must go through the Suez Canal, then the contract will become frustrated due to impossibility. Also if the goods are perishable then the longer route would not work and a claim would also succeed on frustration.

#### 'Self-induced' frustration:

- \* Contracting without having confirmed outcome on the licencing where that is required for the contract is self-induced frustration and not upheld by the court.
- \* If the party in breach exercised a choice in any way, they cannot argue frustration.

#### Event foreseeable:

- \* Government intervention such as the introduction of new legislation may be foreseeable if – eg. there are public discussions regarding the intervention.
- \* If there is a provision in the contract dealing with the event that happened, then frustration does not apply.
- \* Many contracts now contain a force majeure clause which lists common intervening events and suspends the contract on one of the events listed. Other contracts also contain a price variation clause.

### Consequences of frustration:

#### At common law:

#### Claiming consideration:

**In cases of partial failure of consideration, money that has already been paid cannot be claimed back.**

**Partial failure of consideration** = cases where parts of the contract were satisfied.

If there was additional consideration provided, then the full amount will be due.

In cases of total failure of consideration, the amount paid is recoverable.

#### Expenses:

**Expenses incurred before the frustrating event:** recoverable only at the court's discretion, however, they must have been incurred in preparation for the performance of the contract.

**Expenses incurred after the frustrating event:** no recoverable.

#### Legislation:

If either party achieved a **valuable benefit** after the frustrating event then a 'just sum' may be awarded. – eg. in a building contract, although the building works were not finished, the job was partially completed which the hirer will not have.

Calculate the price of the valuable benefit and the courts will decide what would be fair to award in the circumstances. The courts have a wide discretion.

## REMEDIES

### ACTING FOR THE CLAIMANT:

#### Damages that a Claimant may claim:

1. Liquidated damages and penalties
2. Compensation

#### **Liquidated damages and penalties:**

**Liquidated damages** = where the parties **agree on the damages** in case of a breach beforehand and set it out **in the contract**.

If this happens, the contract will set out a specific sum which they can pay in case of a breach. If the party in breach refuses to pay, the court will enforce this sum of money.

This is beneficial as the parties will know what to expect and this reduces the risk of potentially paying out a higher amount than what have been agreed. This will also ensure that both parties can take out insurance.

#### Penalty clauses:

Liquidated damages clauses could be struck out if they are found to be a penalty clause.

**Legitimate interest test:** Ask if the detriment to the contract breaker is **out of proportion** to the legitimate interest of the other party. Look at this in the context of the agreement. You will need to find a legitimate interest of the party for the clause and it will be valid if proportionate.

#### **Compensation:**

If there is no valid liquidated damages clause, then 'unliquidated damages' will be calculated.

The aim in the UK is compensation, not punishment. – the Claimant cannot profit from the claim.

**Damages aim to put the innocent party into the position they would have been in had the contract been performed.**

#### A Claimant can claim either:

- \* Expectation loss
- \* Reliance loss
- OR
- \* Restitution

#### Expectation loss:

**Damages aim to put the innocent party into the position they would have been in had the contract been performed.** – Forward looking measure, where the Claimant has suffered a loss of expectation.

#### Three different measures:

1. Difference in value – eg. because of the contract, you have now lost out on money. Having a car worth £3,000 but the car would have been worth £5,000 due to the contract, the innocent party can be awarded £2,000 to reflect the diminution of value.
2. Cost of cure – eg. an amount awarded to reflect how much it would cost to fix the defect.
3. Loss of amenity – eg. an amount awarded to reflect the fact that the Claimant lost access to something.

Ask for the highest amount and any other available options in the alternative.

The court may award loss of amenity if the money to remedy the defect would be disproportionate for the benefit achieved by fixing the problem.

#### Example:

Mr Forsyth wanted to get a swimming pool built and contracted some builders. He wanted the pool to be 7 foot 6 inches deep. When the works were completed, it turned out to be 6 foot 9 inches deep only.

|                     |                                                   |
|---------------------|---------------------------------------------------|
| Contract price      | £20,000                                           |
| Cost of cure        | £21,560                                           |
| Difference in value | £0 – he wouldn't get more money for a deeper pool |
| Loss of amenity     | £2,500                                            |

**Held:** The court was not sure if he was going to use the money to remedy the defect. The amount awarded this way would have also been disproportionate for the benefit achieved by making the swimming pool deeper.

#### Other examples:

- \* Farley wanted a peaceful country residence and contracted Skinner to find the ideal property for him. Once he moved in, he realised that the area was very noisy due to airplanes constantly landing nearby. He was also awarded a loss of amenity.
- \* Loss of amenity is not available in a commercial context.
- \* McGlinn demolished a property built with cosmetic defects, he then rebuilt it and sued for cost of cure. This was seen as excessive and only loss of amenity was awarded.

#### Reliance loss:

- \* **These losses aim to put the innocent party back in the position had they not made the contract.** – Backward looking measure.
- \* The Claimant may have lost money relying on the proper performance of the contract.
- \* You cannot use reliance loss to get out of a bad bargain.
- \* Losses that are too speculative will not be allowed under this head of loss. Calculating the amount a Claimant could have made from a project is too speculative and such compensation will not be allowed.
- \* Pre-contractual expenses could be allowed by the court if any.

#### Restitution:

- \* **A measure depriving the contract breaker from their profits if they made profits from breaching the contract.**
- \* Restitution is only available in exceptional circumstances, where contractual damages would be inadequate.
- \* If you breach your contract as you would make a better deal elsewhere, this is allowed, as long as you pay damages.

#### Damages for mental distress:

##### **This is generally not available.**

The innocent party will always be upset when a contract is breached.

#### Exception:

**If the contract was for pleasure/relaxation/peace of mind.** Pleasure/relaxation/peace of mind must have at least been a 'major object of the contract'.

#### Loss of reputation:

Claims for loss of reputation can be allowed.

#### Loss of chance:

Losing the chance of winning can be claimed.

#### Quantum meruit:

Paying for partially completed work will usually be only paying for work that had been done.

### ACTING FOR THE DEFENDANT:

#### Limiting damages:

1. **Causation** – D might agree to a breach but argue that the loss was not caused by the breach
2. **Remoteness** – D might agree that the loss was caused by his breach but the loss was too remote
3. **Mitigation** – D might agree that the loss was caused by his breach but claim that C did not mitigate which could have reduced its losses.
4. **Contributory Negligence** – D might argue that his breach of contract was due to negligence and may then say that C was also negligent so he is not responsible for all the damage caused.

#### **Causation:**

**There must be a causal link between the breach of contract and the loss claimed.**

**The breach must be an effective cause of the loss.**

**If there is a novus actus interveniens (break in the chain of causation), the cause that happened closer to the loss will be deemed to cause it.**

**Example:** A farmer had a trailer which had a faulty coupling. Because of this, it went on the other side of the road and caused an accident. The farmer argued that the loss was caused by the breach of contract by the manufacturer of the trailer.

**Held:** The loss was not caused by the manufacturers as the farmer knew that the trailer was broken when he decided to use it.

## Remoteness:

Some losses are too remote.

### Example:

If you fall asleep while driving and drive into another car causing an accident, then even if no one dies, the other driver might end up in hospital.

Because he broke an arm and was in hospital, he was not able to do his job as a shelf stacker at Tesco.

Because he was not able to work, he lost out on money and was not able to buy his daughter a textbook she needed to study Contract law.

Because she did not get the book, she failed the class and gave up on studying law. At some point, these losses will be too remote.

**Hadley v Baxendale** When looking at remoteness of a loss, apply the two-limb test.

### Two-limb test:

1. C can claim for a loss arising naturally in the usual course of things.  
Imputed knowledge is required (objective) – eg. mill owners should be expected to keep a second mill shaft.
2. Reasonably in the contemplation of both parties  
Actual knowledge (subjective) – What did the parties actually know about? The claimants in this case should have told the defendants at the time of contracting that they did not have another mill shaft.

**Must be in the contemplation of both parties at the time of contracting.**

The second limb is not satisfied if the other party to the contract did not know about the big contract coming up.

**Was the loss one which was 'not unlikely' to occur?** If the loss occurred because of a drop in market prices, this was deemed to be unforeseeable.

### Mitigation:

**Strictly speaking no obligation to mitigate, but losses resulting from failure to mitigate are unrecoverable.**

Only reasonable steps are required to mitigate.

No need to litigate to mitigate.

If cost-effective, innocent party may need to renegotiate the contract.

Mitigation not 'weighed in nice scales'. Court will not expect the innocent party to count pennies.

### Contributory negligence:

Contributory negligence may be available if the other party or a third party was also negligent and their negligence contributed to the damages caused.

**Contributory negligence is available where there is:**

- i. Breach of a contractual duty  
AND
- ii. The breach is also a tort

## EQUITABLE REMEDIES:

### Specific Performance:

**Specific performance = compelling** one of the parties **to perform their obligations** under the contract.

Only granted in rare cases and when damages would be insufficient.

### Specific performance will not be granted if:

1. Performance would cause undue hardship/unfairness to the party in breach
2. Consideration agreed in return for performance is inadequate
3. The innocent party themselves has outstanding obligations under the agreement.
4. The contract is an employment contract/contract for personal services – **the court will not force a person to work for someone.**
5. The order would require court supervision.

### Injunction:

To stop a person from doing something. – eg. **prohibiting a party from contracting customers.**

### Rescission:

Rescinds the contract as if it never existed.

### Rectification:

If there is a mistake in the contractual document, the court can correct the correct it to reflect the true intentions of the parties.

## INDEMNITIES AND GUARANTEES:

### Indemnities:

**Indemnity** = a contractual obligation by which one party agrees to keep another protected from a specific loss.

Liability under an indemnity arises not because of a breach but because the parties have stipulated that one shall pay another in specified circumstances.

Eg. if A is sued because of the low quality of the product provided by B, B indemnifies A for the lawsuit.

The scope of an indemnity will depend on its wording.

**EE Caledonia Ltd v Orbit Valve Co Europe** Indemnities do not commonly cover **losses caused by negligence** as this is deemed to be unfair under the Unfair Contract Terms Act 1977.

### Guarantees:

**Guarantee** = a contractual promise made by the guarantor to ensure that another person, who is a party to the contract will perform their obligations.

## UNJUST ENRICHMENT (RESTITUTION):

**Restitution** = restoring the payment of a sum under a contract where the contract was never performed.

Restitution is a concept that is separate from contract law. Restitution exists to prevent unjust enrichment.

**Unjust enrichment** = one party has obtained a benefit at the expense of another by mistake, duress or undue influence.

Restitution could be an alternative to contractual damages, however, it only applies once the contract has been set aside. Restitution is only awarded if **other remedies are inadequate.**

### Requirements: \*Awarded to innocent parties only\*

1. Innocent party shows a legitimate interest in preventing the other party from keeping any of the profits.
2. The other party must have been enriched/benefited
3. The enrichment must have been at the expense of the innocent party
4. The enrichment must have been unjust
5. There are no defences.

### Examples:

1. Work has been carried out but there was no contract
2. One party failed to provide consideration – eg. because one of the parties terminated the contract before they have done anything at all.
3. If a contract is only partially performed, the innocent party then accepts partial performance, however, no price is actually agreed
4. Money paid out by mistake
5. Rescinding a contract where there is an outstanding amount remaining with the wrong party
6. Transfer of property due to threat/pressure
7. Undue influence

### Remedies:

- \* Money or property  
OR
- \* An order that the party in breach returns any gains they have made to the innocent party  
OR
- \* If restitution in relation to services: quantum meruit award – an order requiring payment of reasonable remuneration for the works carried out.  
OR
- \* If restitution in relation to goods: quantum valebat award.